

QRAA Annual Report 2011-12

Welcome

Welcome to the QRAA Annual Report for 2011-12.

QRAA is a statutory authority of the Queensland Government established under the *Rural and Regional Adjustment Act 1994* (the Act), reporting to the Minister for Agriculture, Fisheries and Forestry.

We provide specialist financial administrative services to the Queensland Government as well as to state and territory governments throughout Australia and for the Australian Government in accordance with the Act.

This report provides a summary of QRAA's achievements, performance, outlook and financial position for the 2011-12 financial year in accordance with legislative reporting obligations.

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Interpreter service statement

The Queensland Government is committed to providing accessible services to Queenslanders from all culturally and linguistically diverse backgrounds. If you have difficulty in understanding the annual report, you can contact us on **Freecall 1800 623 946** and we will arrange an interpreter to effectively communicate the report to you.

Public availability and feedback

A copy of this Annual Report is available at www.qraa.qld.gov.au. A checklist outlining the annual reporting requirements can be accessed at www.qraa.qld.gov.au.

To provide feedback on this report, please contact us:

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To the Minister

31 October 2012

The Honourable John McVeigh
Minister for Agriculture, Fisheries and Forestry
GPO Box 46
BRISBANE QLD 4001

Dear Minister

I am pleased to present the QRAA Annual Report for 2011-12.

This report summarises QRAA's corporate performance for 2011-12 and has been endorsed by the QRAA Board of Directors.

I certify that this Annual Report complies with:

- the prescribed requirements of the *Rural and Regional Adjustment Act 1994* and the *Financial Accountability Act 2009*, and
- the detailed requirements set out in the *Annual report requirements for Queensland Government agencies (2011 – 2012 reporting period)*.

QRAA is proud of its achievements in 2011-12 and will continue to support the Queensland Government's objectives of doubling agricultural production by 2040 and growing a four pillar economy through tourism, agriculture, resources and construction.

Yours sincerely

Wayne Carlson
Chairperson

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Our year in review

Chairperson's and Chief Executive Officer's report

QRAA's functions and activities directly contribute to the Queensland Government's objectives of doubling agricultural production by 2040 and the commitment to grow a four pillar economy through tourism, agriculture, resources and construction.

During 2011-12 QRAA approved more than 28,000 applications totalling over \$285 million in financial assistance across all loan, grant, rebate and subsidy programs. This compares with over 24,000 applications and \$196 million in 2010-11.

This high level of activity reflected the ongoing need for natural disaster recovery assistance, record breaking demand for the First Start and Sustainability Loans, continuation of the high volume *Queensland Government Solar Hot Water Rebate Scheme* and administration of eight new programs.

QRAA staff worked tirelessly across all corners of the state to deliver over \$212 million in much needed natural disaster recovery loans and grants to more than 12,000 primary producers, business owners and non-profit organisations.

QRAA achieved an operating surplus of \$19.69 million in 2011-12. This is an increase of \$4.18 million from the previous year.

For the first time in QRAA's history, over \$60 million in productivity loans, under the *Queensland Government Primary Industry Productivity Enhancement Scheme*, were approved to new and existing primary producers. This is more than double the value of loans approved in the previous year.

QRAA continued to manage the high volume *Queensland Government Solar Hot Water Rebate Scheme* and approved more than 16,000 applications and over \$11 million in rebates during 2011-12.

Despite encountering high application volumes QRAA processed 97 per cent of applications within the standard

response time for all schemes during 2011-12.

New business opportunities secured included:

- administration of the *Subsidised Interest Rate Scheme for Pastoralists and Service Businesses Involved in Live Cattle Exports to Indonesia*
- a procedural governance review of the *Healthy Headwaters Water Use Efficiency Project* on behalf of the former Department of Environment and Resource Management.

A 2012 survey of government departments that had engaged QRAA to deliver programs and services found that all were satisfied or very satisfied with QRAA's services. All survey respondents indicated that they would recommend QRAA to other agencies and agreed that QRAA provides a professional, efficient, reliable, trustworthy and responsive service.

QRAA's Rural Debt Survey 2011 established that Queensland's rural debt has increased to \$16.9 billion, a 19 per cent increase (\$2.6 billion) since the last biennial survey undertaken in 2009.

Our future

QRAA will continue to strive to be the preferred provider of government financial programs and services, and to achieve self-sufficiency through cost leadership, growth and capability.

Changing economic, climatic, legislative and policy environments impact on all aspects of QRAA's operations. QRAA is well positioned to respond to these challenges and will continue to be flexible and responsive to government priorities and emerging business needs.



Colin Holden
Chief Executive Officer



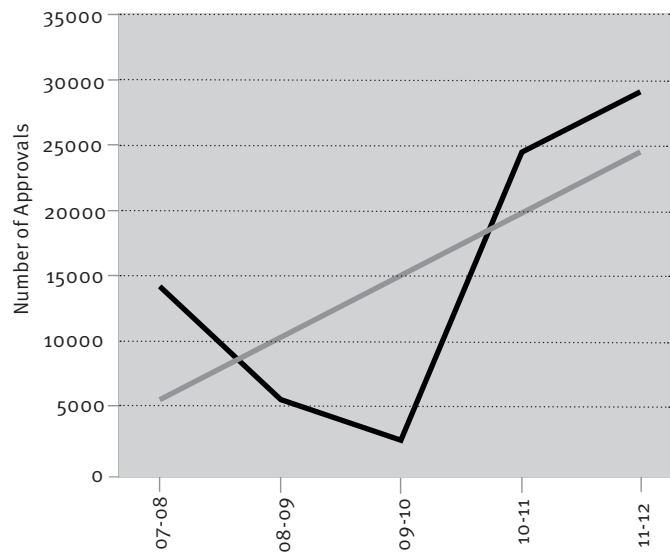
Wayne Carlson
Chairperson

New programs

	Program	Full administration	Partial administration	Other service
1.	Natural Disaster Assistance - Western Queensland Tropical Low (February 2012)	✓		
2.	Natural Disaster Assistance - North Coast Storm and Flooding and East Coast Hybrid Low 24 February – 7 March 2012	✓		
3.	Natural Disaster Assistance - East Coast Low 22 March 2012	✓		
4.	Natural Disaster Assistance - Heavy Rainfall and Flooding, Northern and Far Northern Queensland 15 March 2012	✓		
5.	Special Disaster Assistance - Western Queensland Tropical Low 2012	✓		
6.	Dawson Valley Irrigators Water Rebate Scheme		✓	
7.	Subsidised Interest Rate Scheme for Pastoralists and Service Businesses Involved in Live Cattle Exports to Indonesia		✓	
8.	Healthy Headwaters Water Use Efficiency Project (procedural governance review)			✓

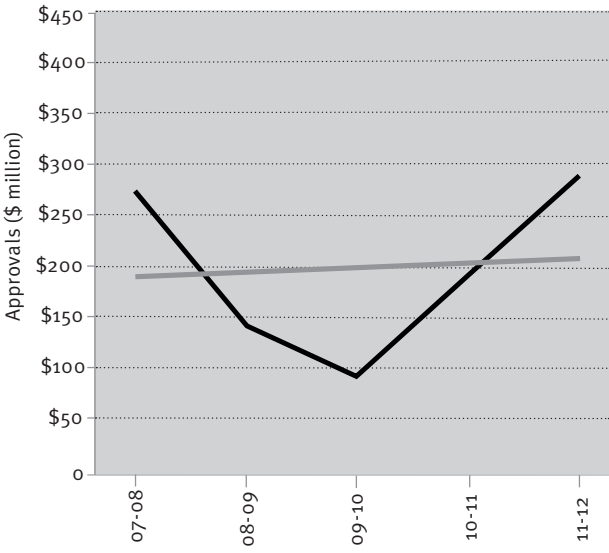
Five year snapshot

Applications approved



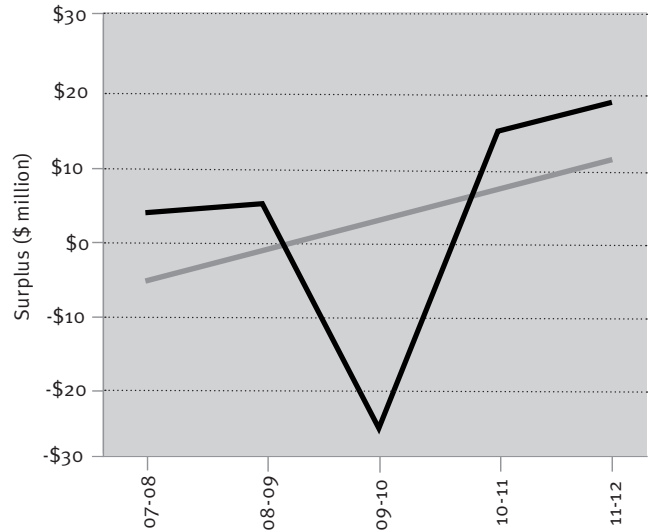
In 2011-12, QRAA approved 28,582 applications across all financial assistance programs.

Program approvals



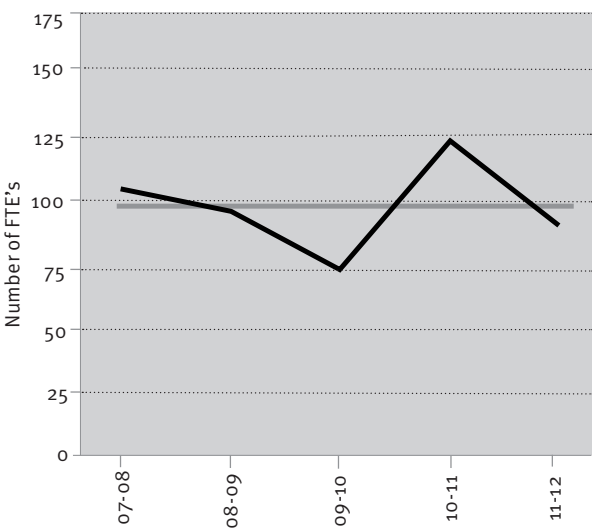
In 2011-12, QRAA approved more than \$285 million in financial assistance in the form of loans, rebates, grants and subsidies. This is the highest approval figure for the last five years and the second highest in QRAA's history.

Operating surplus



QRAA achieved an operating surplus of \$19.69 million in 2011-12. The five year trend line indicates progress towards the organisation's strategic intent to achieve self sufficiency.

Staffing



As at 30 June 2012, QRAA employed 90.8 full-time equivalent employees (FTE) across all business units. Staff numbers fluctuate to meet emerging business needs.

— Total number — Trend line

Our organisation

About us

Who we are

QRAA is a statutory authority of the Queensland Government established under the *Rural and Regional Adjustment Act 1994* (the Act), reporting to the Minister for Agriculture, Fisheries and Forestry.

What we do

QRAA is a specialist administrator of government financial assistance programs including loans, grants, rebates and subsidies.

Since 1994, QRAA has established a reputation for cost-effective, timely, robust and transparent service delivery.

Through the assistance programs it administers, QRAA contributes to Queensland Government objectives by:

- fostering the development of a more productive and sustainable rural and regional sector in Queensland
- supporting the state's economy by providing assistance to primary producers, small businesses and other elements of the state's economy
- giving assistance by administering programs for the Australian Government and other states in rural and regional sectors outside Queensland.

QRAA's core responsibility is to administer the Queensland Government's *Primary Industry Productivity Enhancement Scheme* and when required, support the delivery of selected *Natural Disaster Relief and Recovery Arrangements* assistance for primary producers, small businesses and non-profit organisations (jointly funded by the Queensland and Australian Governments).

QRAA is also empowered under the Act to deliver additional programs and services to state and territory governments throughout Australia and for the Australian Government.

QRAA's administration services are complemented by a dedicated and responsive customer service unit which includes:

- direct access to experienced Customer Service Officers based in the Brisbane head office via the **Freecall 1800 623 946** number
- personalised support throughout regional Queensland through our network of eight Client Liaison Officers located in Bundaberg, Innisfail, Kingaroy, Longreach, Mackay, Rockhampton, Roma and Toowoomba.

Our values

QRAA's operations are governed by its commitment to six core values:

Continual improvement

We will develop a higher level of excellence in the delivery of high-quality, efficient, timely and responsive services.

Equity

We ensure that our performance demonstrates transparency, fairness, consistency and professionalism.

Responsibility

We will deliver on our commitments by taking ownership and responsibility for our decisions.

Integrity

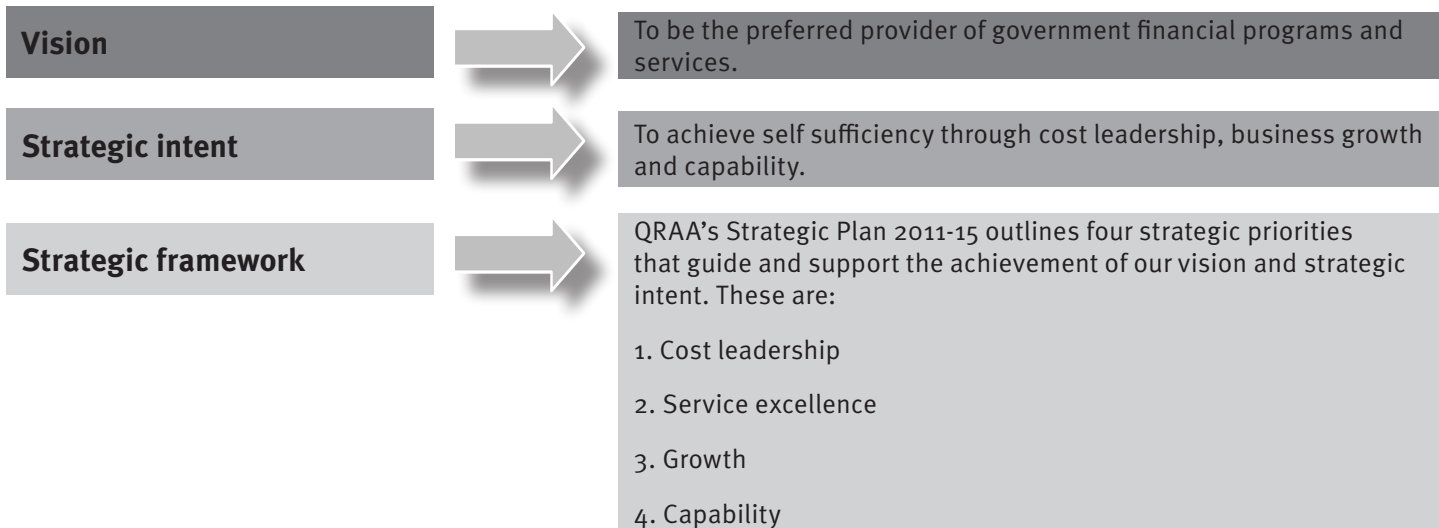
We act with honesty, empathy and confidentiality in all of our dealings.

Respect and recognition

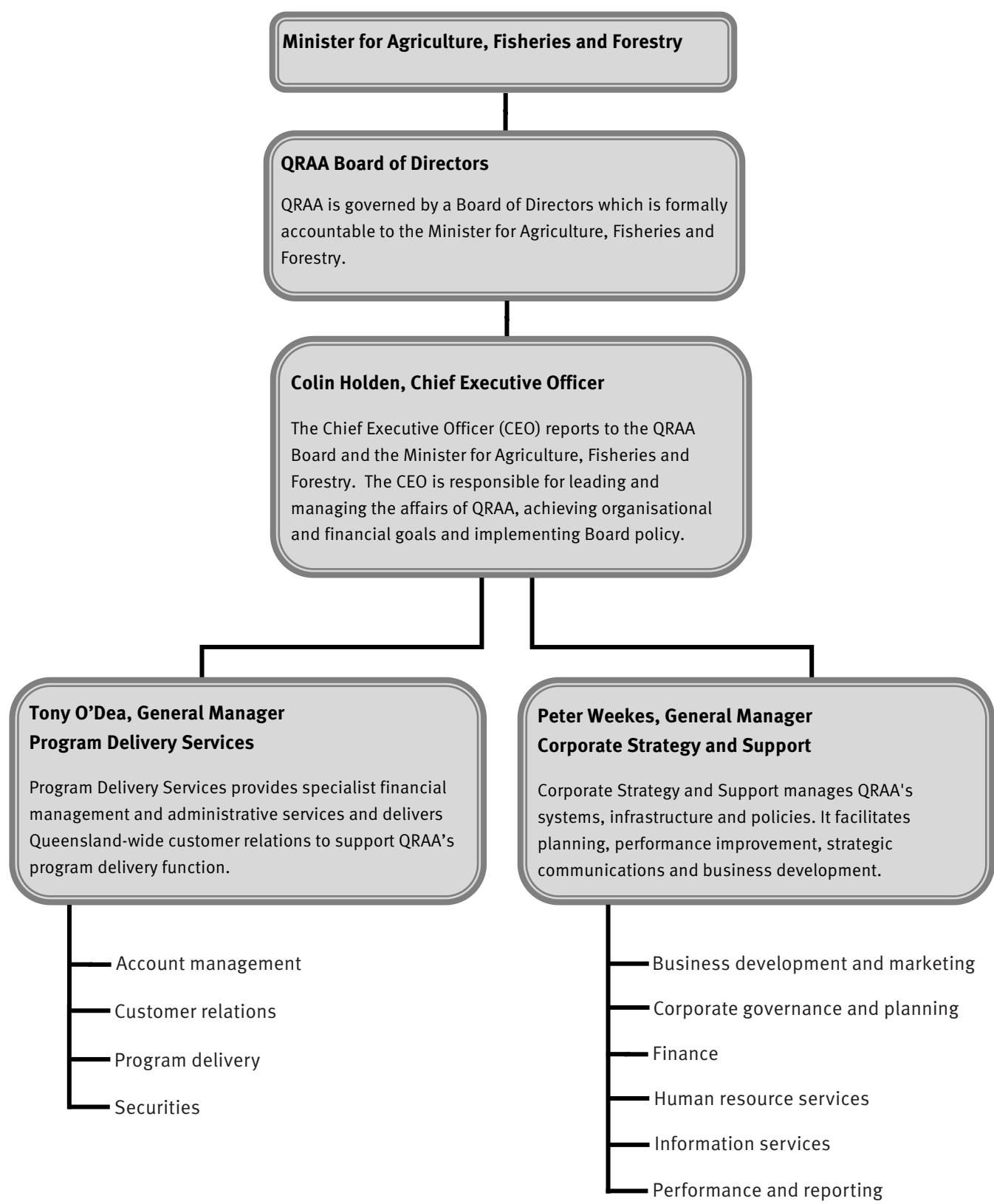
We value and acknowledge the contribution of our staff and commit to providing recognition, development and the giving and receiving of constructive feedback.

Harmony and satisfaction

We provide a safe, equitable, harmonious and challenging work environment encouraging teamwork and creativity.



Organisational structure



Corporate governance

QRAA Board of Directors

QRAA's Board of Directors (the Board) is responsible for the way QRAA performs its functions and exercises its powers.

The Board consists of seven directors, including representatives from Queensland industry as well as the Department of Agriculture, Fisheries and Forestry (DAFF) and Queensland Treasury and Trade.

The Board's role includes:

- approving strategies and operational, administrative and financial policies
- ensuring QRAA performs its functions properly, effectively and efficiently
- annual review of the performance of QRAA's CEO.

The Board is formally accountable to the Minister for Agriculture, Fisheries and Forestry. During 2011-12, the Board reported to the Minister on QRAA's achievements on a quarterly basis.

Under the Act, the Board must meet at least once every three months. The Chairperson may call a Board meeting more frequently as required.

During 2011-12 the Board met 11 times for board meetings, regional visits, workshops and strategic planning sessions.

Board committees

The Board has two sub-committees that support its decision-making, each with a defined charter. These are the Audit and Risk Management Committee and the Remuneration Committee.

Audit and Risk Management Committee

The Audit and Risk Management Committee consists of three directors with the QRAA Chairperson and QRAA CEO attending as ex-officio members. The Committee met five times during 2011-12.

During 2011-12, the Committee undertook independent reviews to improve QRAA's operations and outputs and advised the Board on:

- financial statements
- risk management
- internal controls
- performance management
- internal and external audit
- compliance
- reporting.

Director	Board meetings		Audit and Risk Management Committee meetings		Remuneration Committee meetings		'Special' meetings *	
	Eligible to attend	Attended	Eligible to attend	Attended	Eligible to attend	Attended	Eligible to attend	Attended
Wayne Carlson	10	9	5 (ex-officio)	5	1	1	1	1
Joy Cooper	10	9	5	5	1	1	1	0
Sarah Israel **	9	8	-	-	-	-	1	0
Alan Tesch ***	4	4	2	2	-	-	1	1
John O'Connell ***	6	2	3	3	-	-	-	-
John Pollock	10	10	5	5	-	-	1	1
Georgie Somerset	10	10	-	-	1	1	1	1
Sue Ryan ****	7	5	-	-	-	-	1	0
Director-General Department of Agriculture, Fisheries and Forestry ****	3	3	-	-	-	-	-	-

* Darling Downs Regional Visit 18 - 20 October 2011

** Sarah Israel, resigned as a non-executive Director on 6 June 2012 and Christopher Hood was subsequently appointed on 19 July 2012.

*** Director, Alan Tesch relinquished his directorship on 14 December 2011 and John O'Connell was subsequently appointed as the Queensland Treasury and Trade government representative.

**** Director, Sue Ryan, relinquished her role as delegate for the Director-General of the former Department of Employment, Economic Development and Innovation on 20 April 2012. Following the Machinery of Government Changes, the Director-General, Department of Agriculture, Forestry and Fisheries has been represented by three authorised delegates (April - Bruce Turner; May - Greg Robbins and June - Elizabeth Woods).

Corporate governance (cont.)

Remuneration Committee

The Remuneration Committee includes two directors and meets annually, with the QRAA CEO attending as an ex-officio member.

As part of the budget process, the Committee reviewed and advised the QRAA Board on the performance of senior management by means of a remuneration review.

Measuring performance

The Remuneration Committee and the Board periodically review the performance of QRAA's CEO and other senior executives.

Organisational performance goals and strategic targets are established as a result of the Board's strategic planning and budgeting processes and are subject to endorsement by the Minister for Agriculture, Fisheries and Forestry.

Organisational performance is monitored and reported against objectives and targets set out in QRAA's Strategic Plan.

Risk management

QRAA's risk management framework assists staff to implement risk management practices and facilitates a risk management culture.

A risk management reference group, comprised of representatives of QRAA's business units, assists and supports the Senior Executive Team and the Audit and Risk Management Committee maintain an integrated risk management approach to:

- promote and further develop the risk management framework and act as risk champions to foster a culture of risk management
- review and consider the requirements and issues raised applicable to legislation, standards and guidelines
- effectively manage, monitor and review risk exposures and treatments
- promote emergency and business continuity management preparedness
- review fraud and corruption management practices
- identify emerging risks and opportunities and develop appropriate action plans to manage those risks and opportunities.

Strategies that supported successful risk management in 2011-12 included:

- managing the QRAA Corporate Risk Register, incorporating the status of risk treatments, reviewed quarterly by QRAA's Audit and Risk Management Committee and the QRAA Board
- conducting a series of surveys and risk management workshops to clarify QRAA's risk appetite in key areas; and
- other supporting activities such as business continuity management preparedness and a targeted review of fraud and corruption controls.

Internal audit

PricewaterhouseCoopers (PwC) provided internal audit services during the year. This internal audit function assisted QRAA in achieving strategic goals by providing an independent review of identified areas.

The reviews undertaken in 2011-12 assisted with:

- ensuring financial assistance programs are administered appropriately
- reliability and integrity of financial, human resource, payroll and information services processing and systems
- legislative compliance
- appropriate management of operational areas and projects.

PwC delivered these services through the development and monitoring of an annual audit plan of reviews and a series of workshops. All final reports were considered by the QRAA Audit and Risk Management Committee.

Ethical standards

QRAA requires all directors, managers and employees to act with integrity and objectivity and to maintain high standards of ethical behaviour in the execution of their duties.

The QRAA Code of Conduct requires officers to:

- act with integrity and impartiality, ensuring high standards of workplace behaviour and personal conduct
- promote the public good through excellence in customer service, community engagement and working with other agencies
- commit to the system of government through conscientious service to QRAA and government
- act with accountability and transparency to support high standards of administration.

Corporate governance (cont.)

All new appointees to QRAA provide a statement indicating that they have read and understood the QRAA Code of Conduct.

All QRAA policies and procedures are referenced to the Code of Conduct and are made available to staff via the QRAA intranet. Internal communications support ongoing awareness, understanding and compliance.

To support the QRAA Code of Conduct and to further strengthen connectivity with the *Public Sector Ethics Act 1994*, targeted training was conducted on:

- procurement
- giving and receiving gifts and benefits
- corporate credit cards use
- petty cash use; and
- reportable contract disclosure requirements.

In addition, the QRAA Fraud Management Control Plan and Risk Register were reviewed and updated in 2011-12 to support the internal audit of fraud and corruption controls.

Policy framework

During 2011-12, QRAA continued to focus on the development and review of its corporate policies and procedures in line with a three-year cyclical work plan. This ensured ongoing connectivity with legislation and government directives, audit outcomes and best practice.

Policies and procedures approved by the QRAA Board are made available centrally on the QRAA intranet and implemented with the support of education and training, monitoring and review mechanisms.

During 2011-12, 31 policies and procedures were reviewed or developed.

Information systems and recordkeeping

Information systems and recordkeeping are managed in accordance with the *Public Records Act 2002* and other key information standards, policies and guidelines that form the Queensland Government Recordkeeping Policy Framework.

During 2011-12, QRAA completed a number of activities that contributed to the compliance with Information Standard 40 Recordkeeping, including the development and approval of a recordkeeping policy and corresponding procedure to inform staff of recordkeeping practices and responsibilities.

Development and approval of the QRAA Business Classification Scheme was also completed in 2011-12. This scheme will form the foundation of a new organisational network directory. A significant training and recordkeeping awareness campaign is due to commence in 2012-13.

Consultants

During 2011-12, QRAA's consultancy costs totalled \$204,501. The breakdown of these costs is outlined below:

Category	\$
Information communication and technology	\$163,581
Financial advisory services	\$6,300
Accommodation services	\$7,644
Human resources	\$4,742
Governance and compliance	\$22,234
Total	\$204,501

Right to information

The *Right to Information Act 2009* (RTI Act) is the Queensland Government's approach to providing the community with access to information controlled by government.

QRAA supports the principles of the RTI Act by operating in an open, transparent and accountable manner while protecting the privacy of clients and staff.

QRAA is committed to releasing as much information as possible and provides access to information, in accordance with the legislation, as well as published information available on the QRAA website.

During 2011-12, QRAA processed four requests for access to information in accordance with the RTI Act. Given the nature of the information, QRAA was not required to provide a disclosures log.

Information privacy

The *Information Privacy Act 2009* (IP Act) gives all members of the public a legally enforceable right to access and amend their personal information. The IP Act also requires QRAA to safeguard the personal information that it holds and only disclose such information to the individual that the information relates to, where consent has been provided or it is required and authorised under law.

During 2011-12, QRAA did not process any requests for personal information in accordance with the IP Act.

Corporate governance (cont.)

Work health and safety

QRAA is committed to providing a work environment that is conducive to protecting the health, safety and well-being of QRAA workers and visitors to the workplace. QRAA is bound by the *Work Health and Safety Act 2011* (WHS Act), *Work Health and Safety Regulation 2011* and relevant codes of practice.

All QRAA employees were provided with training on how to perform their work safely and without risk to their own or others' health and safety. New employees were informed about the WHS Act and QRAA Work Health and Safety Policy and Procedure through induction programs.

The QRAA Work Health and Safety Policy and Procedure were reviewed and updated to comply with legislative amendments contained in the WHS Act which was revised in 2011.

To support staff returning to work after illness or injury, QRAA has a workplace rehabilitation and return to work coordinator. QRAA retained its workplace accreditation from Q-COMP for its Workplace Rehabilitation Policy and Procedure.

To support the wellbeing of QRAA staff, influenza vaccinations were again offered to all staff prior to the onset of winter, with 39 per cent participating in the program.

Carers (Recognition)

In accordance with the *Carers (Recognition) Act 2008* and principles outlined in the Carers Charter, QRAA through its statutory obligations under the *Rural and Regional Adjustment Act 1994*, is not in a position to develop or implement services to the carers community directly.

QRAA does have internal workflow practices that allow for compliance with the Carers Charter principles including the QRAA Award - State 2012, flexible working arrangements and QRAA's Leave Policy.

QRAA's Leave Policy specifically identifies carers leave as an endorsed leave type for employees with responsibilities in relation to either members of their immediate family or members of their household who need care and support.

Employees were made aware of QRAA's approach to workforce practices that support carers through induction programs and staff meetings upon the release of new policies.

QRAA workforce profile

QRAA staff provide a strong foundation for the effective administration of financial assistance. With strong organisational knowledge as well as exceptional industry and financial expertise, all staff demonstrated their commitment to service delivery and excellence throughout the year.

As at 30 June 2012, QRAA employed 90.8 full-time equivalent (FTE) staff as follows:

QRAA employees by employment type (as at 30 June 2012)

	2010-11	2011-12	MOVEMENT
Permanent	64.0	62.5	↓
Temporary	41.0	28.3	↓
Casual	18.2	0	↓
Total (FTE)	123.2	90.8	↓

QRAA employees (as at 30 June 2012)

	2010-11	2011-12	MOVEMENT
Management (A07 ↑)	14.0	13.0	↓
Professional (A05/6/7)	64.0	49.2	↓
Administrative (↑ to A04)	45.2	28.6	↓
Total (FTE)	123.2	90.8	↓

During 2011-12 there were no early retirement, redundancy or retrenchments undertaken.

QRAA's permanent officer retention rate for 2011-12 was 91 per cent. The permanent officer separation rate for this period was 9 per cent.

Professional development

QRAA's Corporate Training Committee coordinated training initiatives throughout the year and monitored staff training requirements. This integrated approach supported both individual performance plans as well as QRAA's strategic direction - ensuring staff are equipped with the appropriate skills and knowledge to meet future business needs.

Many staff undertook formal studies in finance, accounting, management and project management. Others participated in a range of professional and personal development activities including computer training, job specific (technical training), marketing and resilience training.

An intensive organisation-wide change management program was also facilitated.

Performance and development plans

QRAA's staff Performance and Development Plan (PDP) process commences in July each year. During 2011-12 each employee, together with their team leader or

manager, developed a PDP in line with QRAA's Strategic Plan and Operational Plans. The process placed emphasis on matching employee training and development to business requirements and QRAA's strategic direction.

Industrial and employee relations

In the 2011-12 financial year QRAA established a number of consultative committees and working groups to develop policies and procedures, review workplace productivity, recommend efficiency gains and assist in the planning and establishment of new programs.

QRAA's consultative employee relations frameworks provide a mechanism to successfully address any employee concerns.

Recruitment

Following a challenging 2010-11 financial year in which 48.5 FTE (net) staff members were temporarily recruited in response to unprecedented natural disaster events, staff numbers in 2011-12 declined to align with the reducing business need.

The voluntary turnover rate of 10.65 per cent, up from the previous year (4.8 per cent), was largely due to the reduction in the size of the workforce as temporary officers reached the end of their contracts.

The organisation continued to successfully fill vacant positions and used QRAA's Employee Value Proposition to promote the benefits of working for QRAA.

Workforce planning

In the 2011-12 financial year, QRAA continued to roll out its current workforce plan. This plan incorporates an organisation-wide succession plan to ensure that current risks associated with the departure of key staff and positions across the organisation are minimised. The objectives of the plan support QRAA's strategic direction by maintaining the right number of people with the right skills while allowing the opportunity for flexible working arrangements.

Looking ahead

QRAA's staffing levels are demand driven and vary to accommodate business needs such as responding to disaster events or new programs secured. Staff professional development opportunities will continue to be supported with the PDP process again commencing from July 2012.

Our performance

Organisational performance summary

Our priorities Our objectives Measuring performance

1. Cost leadership

Increase operational efficiencies to improve our competitiveness

Arrears to loan portfolio

Operating expenditure performance

Operating revenue performance

2. Service excellence

Maintain and continuously improve the quality and timeliness of service delivery to meet the needs of our external and internal stakeholders

Client satisfaction with QRAA's services

Program owner satisfaction with QRAA's administration

Applications processed within standard response indicators

3. Growth

Maximise uptake of current Queensland programs

Productivity loan approved amount

Growth of productivity loan portfolio

Secure new programs in Queensland and Australia

New programs administered

Increase stakeholder engagement and partnership opportunities

Awareness of QRAA in Queensland

4. Capability

Ensure that the capabilities of our staff are aligned to business requirements

Staff achievement within personal development plans

Ensure that our business systems and processes are aligned with business requirements

Information Services service response

Core system availability

Commit to a culture that empowers and motivates our staff to excel

Staff satisfaction rating

2011-12 target/ Estimate	2011-12 actual	Commentary		2012-13 Target/ Estimate
3%	0.66%	✓	QRAA performed well, keeping loan arrears well within the established target of 3%. The positive 0.66% result reflects a decrease in the number of loans and dollar values of arrears, the underlying quality of the loan portfolio and the effectiveness of QRAA's lending and loan management practices.	3%
0%	-10.36%	✗	This outcome was caused by the cost of additional staff engaged to provide a timely response to the high volume of NDRRA applications generated by the major natural disasters of 2011. The result was also influenced by provisions created for \$0.68 million for doubtful loans and for \$2.85 million in relation to the two year interest free period on loans provided under the <i>Exceptional Disaster Assistance Scheme</i> . It is important to note these provisions will be written back over the ensuing two years.	0%
0%	-9.01%	✗	This outcome was caused by a lower than initially projected take-up of NDRRA loans and interest rate reductions on loans under the <i>Primary Industry Productivity Enhancement Scheme</i> , together with fee for service revenue shortfalls, which all impacted negatively on income revenue.	0%
80%	-	-	This service standard was not pursued during 2011-12 as the size and composition of QRAA's expanded client base made external market research difficult to justify on a cost-benefit basis. Actual result for 2010-11 was 86.2%.	-
75%	100%	✓	The program owner survey conducted in April 2012 returned a 100% satisfaction outcome, exceeding the 75% target. All respondents indicated they would recommend QRAA to other agencies and agreed that QRAA provides a professional, efficient, reliable, trustworthy and responsive service.	75%
85%	96.86%	✓	QRAA provided responsive processing services exceeding the target by 11.86%.	85%
95%	101%	✓	Improved climatic conditions, reduced loan interest rates and an integrated marketing campaign assisted QRAA in approving \$60.8 million in loans under the <i>Primary Industry Productivity Enhancement Scheme</i> . This result exceeded the performance target of \$57 million and for the first time reached and marginally exceeded the allocated annual scheme funding of \$60 million.	95%
7%	10%	✓		7%
3	8	✓	The result reflects the natural disaster events impacting on the state, QRAA's successful expansion into new sectors within Queensland and direct engagement by the Australian Government.	3
80%	-	-	This service standard was not pursued during 2011-12 on the basis it no longer measures the effectiveness or efficiency of QRAA's services owing to the broadened scope and expanded client base. Approval will be sourced to discontinue this measure in 2012-13 due to the cost-benefit of obtaining such a result. Actual result for 2010-11 was 82.7%.	-
80%	100%	✓	Performance reviews completed in 2011-12 established staff achievements against personal development plans.	80%
80%	94.71%	✓	Figures reflect service desk jobs completed within standard response indicators compared to total number of service desk jobs.	80%
98%	99.10%	✓	Figures based on the time core systems are available compared to the total core business hours in the period.	98%
80%	-	-	Staff survey was not undertaken in 2011-12. Actual result for 2010-11 was 83.3%.	80%

QRAA program portfolio

PROGRAM OWNER	PROGRAM	PURPOSE OF PROGRAM / SERVICE
Productivity enhancement		
Queensland Government	Primary Industry Productivity Enhancement Scheme Development Loans*	Enable an applicant to increase the productivity and long term viability of their primary production enterprise.
	Primary Industry Productivity Enhancement Scheme Resource Management Loans*	Enable an applicant to achieve sustainable development through the adoption of appropriate resource management practices, the prevention of degradation or the rehabilitation of degraded areas.
	Primary Industry Productivity Enhancement Scheme First Start Loan Program*	Provide loans at concessional rates of interest to an applicant in the first years of establishment of a primary production enterprise in Queensland.
	Primary Industry Productivity Enhancement Scheme Sustainability Loan Program*	Provide concessional loans to primary producers to implement systems and management practices that enhance sustainable primary production in Queensland.
Natural disaster		
Australian and Queensland Governments	Natural Disaster Assistance Scheme Individually Disaster Stricken Properties	Assist in meeting the recovery needs of primary producers affected by isolated disaster events outside of declared local government areas.
<i>(Natural Disaster Relief and Recovery Arrangements)</i>	Natural Disaster Assistance Scheme Cyclones Charlotte & Ellie (January and February 2009)*	Assist primary producers and small businesses pay for costs arising out of direct damage.
	Natural Disaster Assistance Scheme Queensland Flooding and Cyclones (January to April 2010)*	Assist primary producers and small businesses pay for costs arising out of direct damage.
	Special Disaster Flood Assistance Scheme (March 2010)*	Assist primary producers and small businesses pay for costs arising out of direct damage from flooding caused by monsoonal rains in March 2010.
	Special Disaster Flood Assistance Scheme Queensland Floods (November 2010 - January 2011)*	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Special Disaster Assistance Scheme Tropical Cyclone Yasi*	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Scheme Queensland Floods (November 2010 - January 2011)*	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Scheme Tropical Cyclone Yasi	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Exceptional Disaster Assistance Scheme Queensland Floods (November 2010 - January 2011)*	Assist primary producers and businesses essential to key economic supply chains and regional employment and non-profit organisations that play a significant role in supporting the local community, to pay re-establishment costs arising out of direct extreme damage.
	Exceptional Disaster Assistance Scheme Tropical Cyclone Yasi	Assist primary producers and businesses essential to key economic supply chains and regional employment and non-profit organisations that play a significant role in supporting the local community, to pay re-establishment costs arising out of direct extreme damage.
	Special Disaster Assistance Scheme Western Queensland Tropical Low (February 2012)	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Scheme Western Queensland Tropical Low (February 2012)	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Scheme North Coast Storms and Flooding and East Coast Hybrid Low 24 February - 7 March 2012	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Scheme Heavy Rainfall and Flooding, Northern and Far Northern Qld 15 March 2012	Assist small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Scheme East Coast Low 22 March 2012	Assist small businesses and non-profit organisations pay for costs arising out of direct damage.
Queensland Government	Dawson Valley Irrigators Water Rebate Scheme	To provide additional assistance to eligible irrigators in the Dawson Valley and Theodore areas who have been severely affected by the relevant flooding events.
Drought Assistance		
Queensland Government	Drought Carry-On Scheme and Drought Recovery Scheme*	Assist primary producers who are carrying on primary production enterprises in drought affected areas to recover from the impacts of the drought.
Australian and Queensland Governments	Rural Adjustment Scheme - Exceptional Circumstances (primary producers and small business)	Assist affected primary producers and small businesses if, had exceptional circumstances not happened, their enterprises would have long term prospects of profitability and sustainability.
Adjustment		
Queensland Government	Vegetation Management	Assist primary producers to adjust from the impact of changes to vegetation management legislation.
	Traveston Crossing/Wyalarong Dams Business Adjustment Scheme	Assist eligible business entities adversely affected by the proposed Traveston Crossing Dam or proposed Wyalarong Dam.
Australian Government	Subsidised Interest Rate Scheme for Pastoralists and Service Businesses Involved in Live Cattle Exports to Indonesia	Assist pastoralists and service businesses affected by the Australian Government's temporary suspension of live cattle exports to the Republic of Indonesia.
Other		
Queensland Government	Queensland Government Solar Hot Water Rebate Scheme*	A rebate to eligible households that replace their electric storage hot water system with a solar hot water system or heat pump.
TOTAL		

* 2010-11 figures have been amended to reflect cancellations and adjustments that occurred during 2011-12. Figures are current as at 30 June 2012.

SUPPORT AVAILABLE	APPLICATION APPROVALS				
	2010-11 (#)	2011-12 (#)	2010-11 (\$)	2011-12 (\$)	Variance (\$)
Maximum loan amount of \$500,000	41	-	\$7,653,349		Closed
Maximum loan amount of \$300,000	10	-	\$897,750		Closed
Maximum loan amount of \$650,000	41	88	\$14,383,494	\$34,371,951	Up
Maximum loan amount of \$650,000	31	106	\$6,432,348	\$26,418,126	Up
Loan up to \$250,000	-	3	-	\$605,000	Up
Loan up to \$250,000	2	-	\$334,257	-	Closed
Loan up to \$250,000	23	1	\$3,167,065	\$250,000	Down
Grants up to \$25,000	1,515	60	\$17,713,762	\$635,776	Down
Grants up to \$25,000	9,434	7,385	\$65,374,439	\$89,291,990	Up
Grants up to \$25,000	2,560	3,681	\$15,641,913	\$39,081,365	Up
Loan up to \$250,000 for primary producers and small businesses and a loan/grant package of up to \$105,000 for non-profit organisations	65	95	\$9,965,795	\$12,090,700	Up
Loan up to \$250,000 for primary producers and small businesses and a loan/grant package of up to \$105,000 for non-profit organisations	13	47	\$1,192,000	\$6,296,600	Up
Loan and grant package up to \$650,000	29	87	\$14,080,200	\$38,386,141	Up
Loan and grant package up to \$650,000	21	51	\$8,080,000	\$19,744,363	Up
Grants up to \$25,000	-	752	-	\$5,788,685	New
Loan up to \$250,000 for primary producers and small businesses and a loan/grant package of up to \$105,000 for non-profit organisations	-	2	-	\$280,000	New
Loan up to \$250,000 for primary producers and small businesses and a loan/grant package of up to \$105,000 for non-profit organisations	-	-	-	-	New
Loan up to \$250,000 for small businesses and a loan/grant package of up to \$105,000 for non-profit organisations	-	-	-	-	New
Loan up to \$250,000 for small businesses and a loan/grant package of up to \$105,000 for non-profit organisations	-	-	-	-	New
A rebate for the payment of fixed water charges incurred for the period from 1 January 2011 to 30 June 2011	-	46	-	\$476,918	New
Maximum amount of \$200,000 for drought recovery loans and \$100,000 for drought carry-on loans	33	1	\$2,635,831	\$39,000	Down
Interest subsidy up to \$100,000 for new or existing commercial loans	472	10	\$16,099,938	\$321,278	Down
Enterprise assistance in the form of a grant up to \$100,000 and exit assistance	1	-	\$100,000		Closed
Business advice assistance, business restructuring assistance, business exit assistance	2	-	\$103,000		Closed
Interest subsidy for two years on new business loans up to \$300,000	-	14	-	\$154,090	New
Rebate of \$600 or \$1,000 (for pensioners and low income earners)	10,140	16,153	\$7,237,400	\$11,289,000	Up
	24,433	28,582	\$191,092,541	\$285,520,983	

Our financials

Financial performance

Income statement

Operating result

QRAA recognises grant revenue upon receipt in accordance with *Australian Accounting Standard AASB 1004* and as a result of this accounting treatment there is often significant time intervals between receipt of program funds and payment to clients. QRAA's annual operating result is often materially affected and at variance with approved budgets and estimates as a result of these timing differences.

QRAA's 2011-12 operating surplus of \$19.69 million reflects the full impact of timing differences caused by the receipt of funds and client payments for specific programs occurring in different financial years.

Operating revenue

QRAA receives contributions from the Queensland and Australian Governments to fund various programs it administers based on agreements between QRAA and the relevant program owners.

Total operating revenue in the 2011-12 financial year was \$197.04 million, an increase of \$41.64 from the previous year. Grants and other contributions increased from \$132.48 million in 2010-11 to \$172.89 million in 2011-12.

This increase was attributable to the disaster events administered under the joint Australian/Queensland Government *Natural Disaster Relief and Recovery Arrangements* (NDRRA) assistance schemes including activations for the Queensland Floods (November 2010 – January 2011) and Tropical Cyclone Yasi.

Included in the contributions paid to QRAA are specific fees paid for QRAA to administer government assistance programs. Fees were received for the administration of schemes including the *Queensland Government Solar Hot Water Rebate Scheme*, the *Rural Adjustment Scheme - Exceptional Circumstances* and the *Dawson Valley Irrigators Water Rebate Scheme*.

A contribution of \$8.89 million towards the overall administration of QRAA was received from the Queensland Government.

No fees are charged directly to our clients for processing applications or for the ongoing management of their loans (where relevant).

Interest is earned by QRAA both on loans provided to its clients (\$17.40 million) and funds held for use in the

various programs it administers (\$6.71 million) on behalf of government.

All interest earned is redirected to the programs or returned to program owners (where negotiated). No interest earned is used by QRAA to meet its administrative costs.

Operating expenses

The major expenditure item in 2011-12 was grants/rebates paid to QRAA clients. This item increased from \$125.11 million in 2010-11 to \$157.70 million in 2011-12. This corresponds with the increase in the amount of grants and other contributions revenue in 2011-12.

Employee expenses increased from \$9.23 million to \$11.07 million in 2011-12 reflecting the increase in employee numbers as a result of additional workload to administer the NDRRA assistance schemes including activations for the Queensland Floods (November 2010 – January 2011) and Tropical Cyclone Yasi.

Supplies and services expenses also increased, from \$2.56 million in 2010-11 to \$3.23 million in 2011-12 as a result of increased workload.

Financial position

Assets

QRAA's loan portfolio increased from \$298.36 million in 2010-11 to \$378.30 million in 2011-12.

Loans approved under the Queensland Government *Primary Industry Productivity Enhancement Scheme* increased from \$208.05 million in 2010-11 to \$229.04 million in 2011-12.

Loans approved under the NDRRA assistance schemes increased from \$82.65 million in 2010-11 to \$146.18 million in 2011-12.

Liabilities

External borrowings in 2011-12 totalled \$174.08 million, an increase of \$64.68 million from the previous year. This increase reflects the additional loan funding provided under the NDRRA assistance schemes.

During the year, \$16.38 million of payables and borrowings were redeemed and repaid to QRAA's external lenders.

FINANCIAL FIVE YEAR TREND

	2007-08	2008-09	2009-10	2010-11	2011-12
	(\$'000)	(\$'000)	(\$'000)	(\$'000)	(\$'000)
Total income	307,381	174,119	42,034	155,399	197,039
Operating surplus	4,367	4,643	(26,639)	15,513	19,697
Grants and subsidies paid	289,173	154,904	56,416	125,106	164,000
Loans and advances	292,447	281,993	283,244	298,362	378,300

Financial statements

Statement of comprehensive income

for the year ended 30 June 2012

	Notes	2012 \$'000	2011 \$'000
Income from continuing operations			
<i>Revenue</i>			
Grants and other contributions	2	172,887	132,480
Interest earned on loans and advances	3	17,400	16,516
Interest earned from investments	4	6,707	6,387
Other revenue	5	45	16
Total revenue		197,039	155,399
Gains	6	34	-
Total income from continuing operations		197,073	155,399
Expenses from continuing operations			
Employee expenses	7	11,064	9,227
Supplies and services	8	3,266	2,555
Grants and subsidies	9	157,694	125,106
Depreciation	10(a)	314	313
Amortisation	10(b)	-	12
Finance/borrowing costs	12	1,512	1,638
Charge for impaired loans	11	2,849	710
Bad debts written off	11	677	325
Total expenses from continuing operations		177,376	139,886
Operating result from continuing operations		19,697	15,513
Other comprehensive income		-	-
Total comprehensive income for the year		19,697	15,513

The accompanying notes form part of these statements.

Statement of financial position

as at 30 June 2012

	Notes	2012 \$'000	2011 \$'000
Current assets			
Cash and cash equivalents	13	116,194	119,933
Loans and advances	14	28,235	27,055
Receivables	15	5,963	3,890
Other	16	36	11
Total current assets		150,428	150,889
Non-current assets			
Loans and advances	14	350,065	271,307
Plant and equipment	17	543	664
Intangible assets	18	-	-
Total non-current assets		350,608	271,971
Total assets		501,036	422,860
Current liabilities			
Payables	19	1,137	7,930
Other financial liabilities	20	17,815	16,604
Accrued employee benefits	21	1,826	1,434
Provisions	22	227	-
Total current liabilities		21,005	25,968
Non-current liabilities			
Other financial liabilities	20	156,261	92,793
Accrued employee benefits	21	205	231
Total non-current liabilities		156,466	93,024
Total liabilities		177,471	118,992
Net assets		323,565	303,868
Equity			
Contributed equity		137,652	137,652
Accumulated surplus		185,913	166,216
Total equity		323,565	303,868

The accompanying notes form part of these statements.

Statement of changes in equity

for the year ended 30 June 2012

	Contributed equity \$'000	Accumulated surplus \$'000	Total \$'000
Balance as at 1 July 2010	-	150,703	150,703
Operating result from continuing operations	-	15,513	15,513
Total comprehensive income	-	15,513	15,513
<i>Transactions with owners:</i>	137,652	-	137,652
- Equity injection by Queensland Treasury			
Balance as at 30 June 2011	137,652	166,216	303,868
Balance as at 1 July 2011	137,652	166,216	303,868
Operating result from continuing operations	-	19,697	19,697
Total comprehensive income	-	19,697	19,697
Balance as at 30 June 2012	137,652	185,913	323,565

The accompanying notes form part of these statements.

Statement of cash flows

for the year ended 30 June 2012

	Notes	2012 \$'000	2011 \$'000
Cash flows from operating activities			
<i>Inflows:</i>			
Grants and contributions - Queensland Government		170,612	119,218
Grants and contributions - Australian Government		264	13,291
Interest received on investments		6,615	6,398
Interest received on loans and advances		17,346	16,193
GST collected from customers		15,007	8,013
GST input tax credits from ATO		1,011	2,175
Other		45	16
<i>Outflows:</i>			
Grants and subsidies		(157,694)	(125,106)
Employee expenses		(10,711)	(9,012)
Supplies and services		(3,023)	(2,517)
Borrowing costs		(1,512)	(1,638)
GST paid to suppliers		(928)	(2,036)
GST remitted to ATO		(21,828)	(260)
Net cash provided by operating activities	23	15,204	24,735
Cash flows from investing activities			
<i>Inflows:</i>			
Sales of property, plant and equipment		63	-
Loans and advances repaid		59,856	56,161
<i>Outflows:</i>			
Payments for plant and equipment		(222)	(130)
Loans and advances made		(143,319)	(72,314)
Net cash (used in) investing activities		(83,622)	(16,283)
Cashflows from financing activities			
<i>Inflows:</i>			
Borrowings		81,054	25,206
Equity injections		-	137,652
<i>Outflows:</i>			
Borrowing redemptions		(16,375)	(153,049)
Net cash provided by financing activities		64,679	9,809
Net increase/(decrease) in cash and cash equivalents		(3,739)	18,261
Cash and cash equivalents at beginning of financial year		119,933	101,672
Cash and cash equivalents at end of financial year	13	116,194	119,933

The accompanying notes form part of these statements.

Notes

to the financial statements 2011-2012

Objectives and principal activities of QRAA

Note 1:	Summary of significant accounting policies
Note 2:	Grants and other contributions
Note 3:	Interest earned on loans and advances
Note 4:	Interest earned from investments
Note 5:	Other revenue
Note 6:	Gains
Note 7:	Employee expenses
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Note 9:	Grants and subsidies
Note 10:	Depreciation and amortisation
Note 11:	Movements in provision for impairment
Note 12:	Finance costs
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Note 15:	Receivables
Note 16:	Other current assets
Note 17:	Plant and equipment
Note 18:	Intangible assets
Note 19:	Payables
Note 20:	Other financial liabilities
Note 21:	Accrued employee benefits
Note 22:	Provisions
Note 23:	Reconciliation of operating surplus to net cash from operating activities
Note 24:	Financial instruments
Note 25:	Commitments for expenditure
Note 26:	Board members' fees
Note 27:	Contingencies
Note 28:	Key management personnel and remuneration

Notes

to the financial statements 2011-2012

Objectives and principal activities of QRAA

QRAA was established as a statutory body under the *Rural and Regional Adjustment Act 1994*.

The objective of QRAA is to be the preferred provider of financial programs to rural and regional Queensland on behalf of the Australian and Queensland Governments. The principal activity of QRAA is to provide primary producers and small businesses with loans and subsidies including concessional productivity loans, industry adjustment programs, drought and natural disaster programs, small business emergency assistance, training and skills development assistance and regional development programs.

Note 1. Summary of significant accounting policies

(a) Statement of compliance

QRAA has prepared these financial statements in compliance with section 43 of the *Financial and Performance Management Standard 2009*.

These financial statements are general purpose financial statements, and have been prepared on an accrual basis in accordance with Australian Accounting Standards and Interpretations. In addition, the financial statements comply with Treasury's Minimum Reporting Requirements for the year ended 30 June 2012, and other authoritative pronouncements.

With respect to compliance with Australian Accounting Standards and Interpretations, QRAA has applied those requirements applicable to not-for-profit entities, as QRAA is a statutory body. Except where otherwise stated, the historical cost convention is used.

(b) Grants and contributions

Funds which are allocated to QRAA by the Government and are controlled by QRAA are recognised as revenues in the year in which QRAA gains control of the funds. This is generally on receipt with the exception of repayable advances received from governments for purposes of making loans.

(c) Cash and cash equivalents

For the purpose of the Statement of Financial Position and the Statement of Cash Flows, cash assets include all cash and cheques receipted but not banked at 30 June as well as deposits at call with financial institutions. It also includes investments with short periods of maturity that are readily convertible to cash on hand at QRAA's option and that are subject to a low risk of changes in value.

(d) Receivables

Receivables, including loans and advances, are recognised at the amount due at the time the amount is advanced. Interest earned on receivables is taken to account as it accrues.

Collateral in the form of mortgages, charges and liens are held as security against the loans.

(e) Bad and impaired debts

The collectability of receivables is assessed periodically with a provision being made for impairment. A specific provision for impaired debts has been raised for all identifiable doubtful debts based upon the likely shortfall between the outstanding amount and the expected proceeds of property secured by mortgage or other form of security.

Outstanding receivables are written off as bad debts at 30 June when there is no likelihood of recovery or the extent the outstanding amount exceeds the present value of the expected recovery from realisation of any security.

(f) Acquisition of assets

Actual cost is used for the initial recording of all non-current physical and intangible asset acquisitions. Cost is determined as the value given as consideration plus costs incidental to the acquisition, including all other costs incurred in getting the asset ready for use. However, any training costs are expensed as incurred.

(g) Plant and equipment

All items of plant and equipment with a cost or other value equal to the asset recognition threshold of \$5,000 are recognised for financial reporting purposes in the year of acquisition. Items of a lesser value are expensed in the year of acquisition.

(h) Revaluation and depreciation of non-current assets

Land, buildings, infrastructure, major plant and equipment and heritage and cultural assets are measured at fair value in accordance with AASB 116 *Property, Plant and Equipment* and Queensland Treasury's *Non-Current Asset Policies for the Queensland Public Sector*. At present, QRAA does not hold any assets that belong to these categories.

Plant and equipment, other than major plant and equipment, are measured at cost in accordance with Treasury's *Non-Current Asset Policies*. The carrying amounts for plant and equipment at cost should not materially differ from their fair value.

Separately identified components of assets are measured on the same basis as the assets to which they relate.

Items of plant and equipment are depreciated over their estimated useful lives using the straight-line method of depreciation. For each class of depreciable asset the following depreciation rates were used:

Class	Depreciation rates
Computer equipment	40%
Leasehold improvements	17%
Motor vehicles	25% - 33.3%
Office equipment	10% - 17%

Notes

to the financial statements 2011-2012

Note 1. Summary of significant accounting policies (continuation)

(i) Intangible assets

All intangible assets with a cost or value greater than \$100,000 are recognised in the financial statements, with items of a lesser value being expensed. Each intangible asset is amortised over its estimated useful life to QRAA less any anticipated residual value. The residual value is zero for all of QRAA's intangible assets.

Costs associated with the development of computer software are capitalised and amortised on a straight-line basis over the period of expected benefit to QRAA, namely five years.

(j) Impairment of non-current assets

All non-current physical and intangible assets are assessed for indicators of impairment on an annual basis. If an indicator of possible impairment exists, QRAA determines the asset's recoverable amount. Any amount by which the asset's carrying amount exceeds the recoverable amount is recorded as an impairment loss.

The asset's recoverable amount is determined as the higher of the asset's fair value less costs to sell and depreciated replacement cost.

An impairment loss is recognised immediately in the Statement of Comprehensive Income, unless the asset is carried at a revalued amount. When the asset is measured at a revalued amount, the impairment loss is offset against the asset revaluation reserve of the relevant class to the extent available.

Where impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised as income, unless the asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

(k) Leases

A distinction is made in the financial statements between finance leases, that effectively transfer from the lessor to the lessee substantially all the risks and benefits incidental to ownership, and operating leases under which the lessor retains substantially all risks and benefits.

Where a non-current physical asset is acquired by means of a finance lease, the asset is recognised at an amount equal to the lower of the fair value of the leased property and the present value of minimum lease payments. The liability is recognised at the same amount. Lease payments are allocated between the principal component of the lease liability and the interest expense.

Operating lease payments are representative of the pattern of benefits derived from the leased assets and are expensed in the periods in which they are incurred.

(l) Payables

Trade creditors are recognised upon receipt of the goods or

services ordered and are measured at the nominal amount i.e. agreed purchase/contract price, gross of applicable trade and other discounts. Amounts owing are unsecured and are generally settled on 30 day terms.

(m) Financial instruments

Recognition

Financial assets and financial liabilities are recognised in the Statement of Financial Position when QRAA becomes party to the contractual provisions of the financial instrument.

Classification and measurements

Financial instruments are classified and measured as follows:

- Cash and cash equivalents – held at fair value through profit or loss
- Loans and advances - held at amortised cost
- Receivables – held at amortised cost
- Payables – held at amortised cost
- Borrowings – held at amortised cost

Where loans and advances are provided with interest free periods, these financial instruments are considered to have fair value different from the transaction price (i.e. the fair value of the consideration given or received) and accordingly, the fair value is estimated using a valuation technique (i.e. the fair value can be estimated as the present value of all future cash receipts discounted using the prevailing market rate(s) of interest for a similar instrument with a similar credit rating). Any additional amount lent is recognised as charge for discounted loans in profit or loss. Subsequently, the entity accretes the discount as part of interest earned on loans and advances in profit or loss.

Borrowings are initially recognised at fair value, plus any transaction costs directly attributable to the borrowings, then, subsequently held at amortised cost using the effective interest method. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of a financial instrument (or, when appropriate, a shorter period) to the net carrying amount of that instrument.

Any borrowing costs are added to the carrying amount of the borrowing to the extent they are not settled in the period in which they arise. Borrowings are classified as non-current liabilities to the extent that QRAA has an unconditional right to defer settlement until at least 12 months after reporting date.

QRAA does not enter into transactions for speculative purposes, nor for hedging. Apart from cash and cash equivalents, QRAA holds no financial assets classified at fair value through profit or loss.

All other disclosures relating to the measurement and financial risk management of financial instruments held by QRAA are included in Note 24.

(n) Employee benefits

Employer superannuation contributions, annual leave and long service leave are regarded as employee benefits.

Payroll tax and workers' compensation insurance are a consequence of employing employees, but are not counted in an employee's total remuneration package. They are not employee benefits and are recognised separately as employee related expenses.

Notes

to the financial statements 2011-2012

Note 1. Summary of significant accounting policies (continuation)

Wages, Salaries, Annual Leave, Long Service Leave, Toil and Sick Leave

Wages, salaries, annual leave, TOIL and long service leave due but unpaid at reporting date are recognised in the Statement of Financial Position at the current salary rates.

For unpaid entitlements expected to be paid within 12 months, the liabilities are recognised at their undiscounted values inclusive of on-costs and salary inflation. Entitlements not expected to be paid within 12 months are classified as non-current liabilities and recognised at their present value inclusive of on-costs and salary inflation, calculated using yields on Fixed Rate Australian Government bonds of similar maturity, after projecting the remuneration rates expected to apply at the time of likely settlement.

Prior history indicates that on average, sick leave taken each reporting period is less than the entitlement accrued. This is expected to continue in future periods. Accordingly, it is unlikely that existing accumulated entitlements will be used by employees and no liability for unused sick leave entitlements is recognised.

As sick leave is non-vesting, an expense is recognised for this as it is taken.

Superannuation

Employer superannuation contributions are paid to QSuper, the superannuation scheme for Queensland Government employees, at rates determined by the Treasurer on the advice of the State Actuary. Contributions are expensed in the period that they are paid or payable. QRAA's obligation is limited to its contribution to QSuper.

The QSuper scheme has defined benefit and defined contribution categories. The liability for defined benefits is held on a whole-of-government basis and reported in those financial statements pursuant to AASB 1049 Whole of Government and General Government Sector Financial Reporting.

Key management personnel and remuneration

Key management personnel and remuneration disclosures are made in accordance with section 5 of the Financial Reporting Requirements for Queensland Government Agencies issued by the Queensland Treasury. Refer to note 28 for the disclosures on key management personnel and remuneration.

(o) Provisions

Provisions are recorded when QRAA has a present obligation, either legal or constructive as a result of a past event. They are recognised at the amount expected at reporting date for which the obligation will be settled in a future period. Where the settlement of the obligations is expected after 12 or more months, the obligation is discounted to the present value using an appropriate discount rate.

(p) Other financial liabilities

Interest-bearing liabilities payable are recognised at book value as the amount contractually owing.

All borrowing expenses are accounted for on an accrual basis in the Statement of Comprehensive Income using the effective interest rate method and are added to the carrying amount of the borrowing to the extent they are not settled in the period in which they arise.

(q) Insurance

QRAA's non-current physical assets and other risks are insured through Marsh Pty Ltd, insurance brokers, premiums being paid on a risk assessment basis. Motor vehicles are insured directly with an underwriter. In addition, QRAA pays premiums to WorkCover Queensland in respect of its obligations for employees' compensation.

(r) Financing costs

Finance costs are recognised as an expense in the period in which they are incurred.

Finance costs include:

- Interest on bank overdrafts and short-term and long-term borrowings;
- Finance lease charges;
- Amortisation of discounts or premiums relating to borrowings; and
- Ancillary administration charges.

(s) Taxation

QRAA is a State body as defined under the Income Tax Assessment Act 1936 and is exempt from Commonwealth taxation with the exception of Fringe Benefits Tax (FBT) and Goods and Services Tax (GST). FBT and GST are the only taxes accounted for by QRAA. GST credits receivable from, and GST payable to the ATO, are recognised (refer to note 15 & note 19).

(t) Issuance of financial statements

The financial statements are authorised for issue by the Chairman, Chief Executive Officer and Senior Finance Manager at the date of signing the QRAA Certificate.

(u) Accounting estimates and judgements

The preparation of financial statements necessarily requires the determination and use of certain critical accounting estimates, assumptions, and management judgements that have the potential to cause a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Such estimates, judgements and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in future periods as relevant.

Estimates and assumptions that have a potential significant effect are outlined in the following financial statements:

Provision for Doubtful Debts

QRAA loans and advances are classified on a numerical scale, based on risk (against real estate security). The risk classification system utilises an ascending numerical scale. The scale rating used 1-8 where (1) represents the least risk and (8) the greatest risk. All loans within the scale banks 1 to 4 are fully covered by real estate security.

Notes

to the financial statements 2011-2012

Note 1. Summary of significant accounting policies (continuation)

However all loans with the scale ranks 5 to 8 are examined individually as these are regarded as the most vulnerable to loss notwithstanding real estate or other forms of security may be held. Where sufficient doubt exists about the collectability of principal and interest and further, where the market value of QRAA's held security may be insufficient to cover the full payment of a client's loan, a provision is established. The provision for doubtful debts at 30 June 2012 is \$1.520M.

Provision for Impairment

Client loans made under the Australian and Queensland Government's Natural Disaster Relief and Recovery Arrangements (NDRRA) are approved on the basis of a two year interest and loan repayment free period following loan approval and drawdown approval. The interest rate charge of 4% per annum commences at the expiration of the initial 2 year period. In these circumstances, the debt payable to QRAA is discounted to present value using the discount rate of 4%. The provision for impairment at 30 June 2012 is \$3.560M and this amount will be written back over the 2 year interest free period of the loans.

The Australian Government passed its Clean Energy Act in November 2011 with a start date of 1 July 2012. The legislation will result in the introduction of a price on carbon emissions made by Australian businesses from 1 July 2012.

The flexible market-based price phase of the carbon pricing mechanism will commence on 1 July 2015. It will be preceded by a three-year period during which the price of permits will be fixed at \$23 per tonne or carbon dioxide equivalent in year one, \$24.15 in year two and \$25.40 in year three.

Section 4.3.4 of Queensland Treasury's report on 'Carbon Price Impacts for Queensland' dated August 2011 indicates that, for non-residential construction activities, costs may increase by between 0.7 per cent and 0.8 per cent over the period 2012-13 to 2015-16.

On this basis and other information available, the introduction of the carbon pricing mechanism is not expected to have a significant impact on QRAA's critical accounting estimates, assumptions and management judgements.

(v) Rounding and comparatives

Amounts included in the financial statements are in Australian dollars and have been rounded to the nearest \$1,000 or where that amount is \$500 or less, to zero, unless disclosure of the full amount is specifically required.

Comparative information has been restated where necessary to be consistent with disclosures in the current reporting period.

(w) New and revised accounting standards

QRAA did not voluntarily change any of its accounting policies during 2011-12. Australian accounting standard changes applicable for the first time for 2011-2012 have had minimal effect on QRAA's financial statements, as explained below. AASB 1054 *Australian Additional Disclosures* became effective from reporting periods beginning on or after 1 July 2011.

Given QRAA's previous disclosure practices, AASB 1054 had minimal impact on QRAA.

One of the footnotes to note 8 Supplies and Services, regarding audit fees, has been slightly amended to identify QRAA's auditor and clarify the nature of the work performed by the auditor.

AASB 9 *Financial Instruments* (December 2010) and AASB 2010-7 *Amendments to Australian Accounting Standards arising from AASB 9 (December 2010)* [AASB 1, 3, 4, 5, 7, 101, 102, 108, 120, 121, 127, 128, 131, 132, 136, 137, 139, 1023 & 1038 and Interpretations 2, 5, 10, 12, 19 & 127] become effective from reporting periods beginning on or after 1 January 2013. The main impacts of these standards on QRAA are that they will change the requirements for the classification, measurement and disclosures associated with financial assets. Under the new requirements, financial assets will be more simply classified according to whether they are measured at amortised cost or fair value. Pursuant to AASB 9, financial assets can only be measured at amortised cost if two conditions are met. One of these conditions is that the asset must be held within a business model whose objective is to hold assets in order to collect contractual cash flows. The other condition is that the contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial application of AASB 9, QRAA will need to re-assess the measurement of its financial assets against the new classification and measurement requirements, based on the facts and circumstances that exist at that date. Assuming no change in the types of transactions QRAA enters into, it is expected that any of QRAA's financial assets will meet the criteria in AASB 9 to be measured at amortised cost. Therefore, as from the 2013-2014 financial statements, all of QRAA's financial assets will be required to be classified as "financial assets required to be measured at fair value through profit or loss" (instead of the measurement classifications presently used in notes 1 (m) and 24. The same classification will be used for net gains/losses recognised in the Statement of Comprehensive Income in respect of those financial assets. In the case of QRAA's receivables, the carrying amount is considered to be a reasonable approximation of fair value.

AASB 13 *Fair Value Measurement* applies from reporting periods beginning on or after 1 January 2013. AASB 13 sets out a new definition of "fair value", as well as new principles to be applied when determining the fair value of assets and liabilities. The new measurements apply to all of QRAA's assets and liabilities (excluding leases) that are measured and/or disclosed at fair value or another measurement based on fair value. The potential impacts of AASB 13 relates to the fair value measurement methodologies used, and financial statement disclosures made in respect of such assets and liabilities.

A revised version of AASB 119 *Employee Benefits* applies from reporting periods beginning on or after 1 January 2013. The revised AASB 119 is generally to be applied retrospectively. Given QRAA's circumstances, the only implications for QRAA are that the revised standard clarifies the concept of "termination benefits", and the recognition criteria for liabilities for termination benefits will be different. If termination benefits meet the timeframe criterion for "short-term employee benefits", they will be measured according to the AASB 119 requirements for "short-term employee benefits".

Notes

to the financial statements 2011-2012

Note 1. Summary of significant accounting policies (continuation)

Otherwise, termination benefits will need to be measured according to the AASB 119 requirements for “other long-term employee benefits”. Under the revised standard, the recognition and measurement of employer obligations for “other long-term employee benefits” will need to be accounted for according to most of the requirements for defined benefit plans.

AASB 1053 Application of Tiers of Australian Accounting Standards applies as from reporting periods beginning on or after 1 July 2013. AASB 1053 establishes a differential reporting framework for those entities that prepare general purpose financial statements, consisting of two tiers of reporting requirements – Australian Accounting Standards (commonly referred to as “tier 1”), and Australian Accounting Standards – Reduced Disclosure Requirements (commonly referred to as “tier 2”). Tier 1 requirements comprise the full range of AASB recognition, measurement, presentation and disclosure requirements that are currently applicable to reporting entities in Australia. The only difference between the tier 1 and tier 2 requirements is that tier 2 requires fewer disclosures than tier 1.

Details of which disclosures in standards and interpretations are not required under tier 2 reporting are set out in amending standards AASB 2010-2, AASB 2011-2, AASB 2011-6 and AASB 2011-11 (which also apply from reporting periods beginning on or after 1 July 2013). However, Queensland Treasury’s Financial Reporting Requirements effectively do not allow application of AASB 2011-6 in respect of controlled entities, associates or interests in jointly controlled entities.

Pursuant to AASB 1053, public sector entities like QRAA may adopt tier 2 requirements for their general purpose financial statements. However, AASB 1053 acknowledges the power of a regulator to require application of the tier 1 requirements. In the case of QRAA, Queensland Treasury is the regulator. Queensland Treasury has advised that its policy decision is to require adoption of tier 1 reporting by all Queensland Government departments and statutory bodies (including QRAA) that are consolidated into the whole-of-Government financial statements. Treasury’s policy also prohibits the early adoption of the arrangements outlined in AASB 1053 and its accompanying amending standards. Therefore, the release of AASB 1053 and associated amending standards will have no impact on QRAA.

All other Australian accounting standards and interpretations with future commencement dates are either not applicable to QRAA’s activities, or have no material impact on QRAA.

Note 2. Grants and other contributions

The Australian and Queensland Governments contribute to the funding of the various schemes of assistance depending upon the nature of the scheme and the arrangements under the agreements between the Australian and Queensland Governments. The State’s contributions are made by a number of government agencies, mainly Queensland Treasury and Trade, the Queensland Department of Agriculture, Fisheries and Forestry and the Department of Environment and Resource Management.

	2012 \$'000	2011 \$'000
(a) Queensland Government contributions		
Administration	8,887	8,685
Dawson Valley Irrigators Water Rebate Scheme	621	-
Natural Disaster Relief and Recovery Assistance	151,754	97,076
Queensland Government Solar Hot Water Rebate Scheme	11,315	10,714
Rural Adjustment Scheme	16	1,355
Traveston Crossing/Wyaralong Dams Business Adjustment Scheme	-	342
Vegetation Management	-	1,017
Other schemes	30	-
	172,623	119,189
(b) Australian Government contributions		
Great Barrier Reef Marine Park Structural Adjustment Scheme	-	18
Rural Adjustment Scheme	163	13,273
Subsidised Interest Rate Scheme for Pastoralists and Service Businesses Involved in Live Cattle Exports to Indonesia	101	-
	264	13,291
	172,887	132,480

Note 3. Interest earned on loans and advances

	2012 \$'000	2011 \$'000
Citrus Industry Reimbursement and Recovery Scheme	27	20
Coral Reef Fishery Temporary Assistance Scheme	7	10
Emergency Assistance-Drought Carry-On and Recovery	520	542
Natural Disaster Relief and Recovery Assistance	3,219	3,047
Primary Industry Productivity Enhancement Scheme	13,611	12,874
Young Farmers Establishment	16	23
	17,400	16,516

Notes

to the financial statements 2011-2012

Note 4. Interest earned from investments

	2012 \$'000	2011 \$'000
Dawson Valley Irrigators Water Rebate Scheme	7	-
Great Barrier Reef Marine Park Structural Adjustment Scheme	-	76
Queensland Government Solar Hot Water Rebate Scheme	88	126
Rural Adjustment Scheme	1	142
Vegetation Management	-	17
Other (i)	6,611	6,026
	6,707	6,387

(i) Interest earned on funds invested under the schemes as detailed above accrues directly to those schemes to be used for the purposes of those schemes. All other interest earned becomes revenue of QRAA.

Note 5. Other revenue

	2012 \$'000	2011 \$'000
Recovery of security expenses	5	6
Other	40	10
	45	16

Note 6. Gains

	2012 \$'000	2011 \$'000
Gain on sale of motor vehicles	34	-
	34	-

Note 7. Employee expenses

	2012 \$'000	2011 \$'000
Wages and salaries	8,131	7,047
Employer superannuation contributions	1,055	881
Annual and long service leave	1,161	732
Other	717	567
	11,064	9,227

The number of employees including both full-time employees and part-time employees measured on a full-time equivalent basis is:

	2012	2011
Number of employees	91	123

During 2011-2012, additional temporary and casual employees were engaged during high demand periods in response to QRAA's administration of the assistance programs following the disaster events in early 2011 and the Queensland Government Solar Hot Water Rebate Scheme.

Notes

to the financial statements 2011-2012

Note 8. Supplies and services

	2012 \$'000	2011 \$'000
Advertising and promotion	87	74
Audit fees - external	72	45
Audit fees - internal	56	66
Bank and other financial institution fees and charges	49	47
Computer expenses	311	310
Consultants	205	51
Contractors	281	111
Insurance	78	88
Lease-make good cost	227	-
Motor vehicle expenses	127	109
Photocopying	1	47
Postage	71	75
Printing	35	41
Professional and legal expenses	28	13
Rent	899	737
Securities expenses	183	100
Stationery	28	28
Telephone and fax	155	133
Travel and accommodation	143	193
Other	230	287
	3,266	2,555

Total 2011-2012 audit fees of \$72,345 includes \$58,065 fees paid to the Queensland Audit Office relating to the 2011-2012 financial statements (2011: \$44,824) and there are no non-audit services included in this amount.

Consultant expenses of \$204,501 included costs of \$152,119 associated with the initial stages of upgrading the loans and grants administration system. Contractors expenses of \$280,782 included \$142,627 of costs relating to additional resources required to administer new programs.

Note 9. Grants and subsidies

Assistance was provided to primary producers and small businesses in the form of interest subsidies or grants. Other incidental costs that may be incurred in the guidelines relating to individual schemes are also included.

	2012 \$'000	2011 \$'000
Dawson Valley Irrigators Water Rebate Scheme	607	-
Great Barrier Reef Marine Park Structural Adjustment Scheme	-	4,379
Natural Disaster Relief and Recovery Assistance	145,301	95,298
Queensland Government Solar Hot Water Rebate Scheme	11,345	7,172
Small Business Emergency Assistance	-	2
Subsidised Interest Rate Scheme for Pastoralists and Service Businesses Involved in Live Cattle Exports to Indonesia	4	-
Traveston Crossing/Wyaralong Dams Business Adjustment Scheme	-	312
Rural Adjustment Scheme	437	16,439
Vegetation Management	-	1,504
	157,694	125,106

Notes

to the financial statements 2011-2012

Note 10. Depreciation and amortisation

	2012 \$'000	2011 \$'000
(a) Depreciation		
Computer equipment	40	28
Leasehold improvements	106	135
Motor vehicles	163	141
Office equipment	5	9
	314	313
(b) Amortisation		
Computer software	-	12

Note 11. Movements in provision for impairment

	2012 \$'000	2011 \$'000
Balance 1 July	1,909	1,045
Increase in provision for impairment	677	325
Charged for discounted loans	2,849	710
Bad debts written off	(355)	(171)
Balance at 30 June	5,080	1,909

Bad debts written off during the year were:

Natural Disaster Relief and Recovery Assistance	(355)	(34)
Primary Industry Productivity Enhancement Scheme	-	(137)
	(355)	(171)

Charged for discounted loans relate to discount on loans and advances with interest free period (refer note 1(u)).

Note 12. Finance costs

	2012 \$'000	2011 \$'000
Queensland Treasury Corporation	444	349
Australian Government	1,068	1,289
	1,512	1,638

Finance costs represent interest paid to Queensland Treasury Corporation for Emergency Assistance – Drought Carry-On and Drought Recovery Programs and the Australian Government for Natural Disaster Relief and Recovery Assistance Program.

Notes

to the financial statements 2011-2012

Note 13. Cash and cash equivalents

This item includes cash and funds on short-term deposit. The amounts of cash and deposits are accounted for individually within the various schemes of assistance administered by QRAA.

	2012 \$'000	2011 \$'000
Administration	18,938	17,421
Coral Reef Fishery Temporary Assistance	738	733
Emergency Assistance - Drought Carry-On and Recovery	1,314	2,018
Natural Disaster Relief and Recovery Assistance	26,939	28,183
Primary Industry Productivity Enhancement Scheme	38,847	46,254
Queensland Government Solar Hot Water Rebate Scheme	1,695	2,934
Rural Adjustment Schemes	-	688
Sugar Cane Crop	585	585
Tourism Assistance Package	473	473
Traveston Crossing/Wyaralong Dams Business Adjustment Scheme	-	19
Young Farmers Establishment	2,551	2,417
Reserves	24,114	18,208
	116,194	119,933

Cash surplus to immediate requirements is invested according to the guidelines in the *Rural and Regional Adjustment Act 1994*, the *Statutory Bodies Financial Arrangements Act 1982* and QRAA's Investment Policy.

Cash and deposits held at the end of the year are: -

	2012 \$'000	2011 \$'000
National Australia Bank - at call	1,684	3,632
Queensland Treasury Corporation - at call	21,884	41,204
National Australia Bank - 90 days term deposit	36,007	-
Suncorp Bank - 90 days term deposit	30,887	75,097
Westpac Bank - 90 days term deposit	25,732	-
	116,194	119,933

Cash deposited with National Australia Bank earned interest at rates of between 3.25% and 4.25% for at call funds (2011: 4.25% and 4.75%) and 5.31% and 5.85% for term deposits (2011: n/a), cash deposited with Queensland Treasury Corporation earned interest at rates of between 4.10% and 5.78% for at call funds (2011: 5.06% and 5.53%), cash deposited with Suncorp Bank earned interest at rates of between 5.37% and 6.13% for term deposits (2011: 5.97% and 6.28%) and cash deposited with Westpac Bank earned interest at rates of between 4.96% and 5.93% for term deposits (2011: n/a).

Notes

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Note 14. Loans and advances

Loans and advances are made to primary producers and small business at either a concessional or commercial interest rate.

	Gross \$'000	Provision for impairment \$'000	Current \$'000	Non- current \$'000	2012 total \$'000
2012					
Citrus Industry Reimbursement and Recovery Scheme	922	-	55	867	922
Coral Reef Fishery Temporary Assistance Scheme	93	-	93	-	93
Emergency Assistance - Drought Carry-On and Recovery	6,938	-	1,808	5,130	6,938
Natural Disaster Relief and Recovery Assistance	146,179	4,482	10,440	131,257	141,697
Primary Industry Productivity Enhancement Scheme	229,038	598	15,781	212,659	228,440
Young Farmers Establishment	210	-	58	152	210
	383,380	5,080	28,235	350,065	378,300
	Gross \$'000	Provision for impairment \$'000	Current \$'000	Non- current \$'000	2011 total \$'000
2011					
Citrus Industry Reimbursement and Recovery Scheme	956	-	91	865	956
Coral Reef Fishery Temporary Assistance Scheme	91	-	63	28	91
Emergency Assistance - Drought Carry On and Recovery	8,198	-	1,748	6,450	8,198
Natural Disaster Relief and Recovery Assistance	82,653	1,751	10,603	70,299	80,902
Primary Industry Productivity Enhancement Scheme	208,046	158	14,447	193,441	207,888
Young Farmers Establishment	327	-	103	224	327
	300,271	1,909	27,055	271,307	298,362

The movement in the provision for impairment is shown in Note 11.

Notes

to the financial statements 2011-2012

Note 15. Receivables

	2012 \$'000	2011 \$000
Other receivables		
GST receivable	48	131
Grants receivable	2,010	-
	2,058	131
Accrued interest - bank	710	618
Accrued interest - loans and advances		
Citrus Industry Reimbursement and Recovery Scheme	5	5
Emergency Assistance - Drought Carry On and Recovery	124	141
Natural Disaster Relief and Recovery Assistance	408	362
Primary Industry Productivity Enhancement Scheme	2,656	2,630
Young Farmers Establishment	2	3
	3,195	3,141
	5,963	3,890

Note 16. Other current assets

	2012 \$'000	2011 \$'000
Prepaid expenses	36	11
	36	11

Note 17. Plant and equipment

	2012 \$'000	2011 \$'000
Computer equipment - at cost	351	306
Accumulated depreciation	(273)	(233)
	78	73
Leasehold improvements - at cost	894	894
Accumulated depreciation	(692)	(586)
	202	308
Motor vehicles - at cost	498	449
Accumulated depreciation	(261)	(185)
	237	264
Office equipment - at cost	252	240
Accumulated depreciation	(226)	(221)
	26	19
	543	664

Notes

to the financial statements 2011-2012

Note 17. Plant and equipment (continuation)

Reconciliations

Reconciliations of the carrying amounts of each class of asset are set out below: -

	2012 \$'000	2011 \$'000
Computer equipment		
Carrying amount at start of year	73	24
Acquisitions	45	77
Depreciation	(40)	(28)
Carrying amount at end of year	78	73
Leasehold improvements		
Carrying amount at start of year	308	443
Depreciation	(106)	(135)
Carrying amount at end of year	202	308
Motor vehicles		
Carrying amount at start of year	264	352
Acquisitions	165	53
Disposals	(29)	-
Depreciation	(163)	(141)
Carrying amount at end of year	237	264
Office equipment		
Carrying amount at start of year	19	28
Acquisitions	12	-
Depreciation	(5)	(9)
Carrying amount at end of year	26	19

Note 18. Intangible assets

	2012 \$'000	2011 \$'000
Computer software purchased - at cost	982	982
Accumulated amortisation	(982)	(982)
	-	-

Reconciliations

Reconciliations of the carrying amounts are set out below: -

	2012 \$'000	2011 \$'000
Computer software		
Carrying amount at start of year	-	12
Amortisation	-	(12)
Carrying amount at end of year	-	-

Notes

to the financial statements 2011-2012

Note 19. Payables

	2012 \$'000	2011 \$'000
Current		
Creditors and accruals	118	69
Accrued employee costs	78	100
GST payable	941	7,761
	1,137	7,930

Note 20. Other financial liabilities

	2012 \$'000	2011 \$'000
Interest bearing liabilities		
Current		
Queensland Treasury Corporation	1,440	2,048
Australian Government	7,282	7,289
	8,722	9,337
Non-current		
Queensland Treasury Corporation	4,925	6,375
Australian Government	33,053	32,719
	37,978	39,094
Non-interest bearing liabilities		
Current		
Queensland Government	9,093	7,267
	9,093	7,267
Non-current		
Queensland Government	118,283	53,699
	118,283	53,699
Total current financial liabilities		
Queensland Treasury Corporation	1,440	2,048
Australian and Queensland Governments	16,375	14,556
Total current financial liabilities	17,815	16,604
Total non-current financial liabilities		
Queensland Treasury Corporation	4,925	6,375
Australian and Queensland Governments	151,336	86,418
Total non-current financial liabilities	156,261	92,793

Interest bearing funds of \$6.365M are borrowed from Queensland Treasury Corporation for Emergency Assistance – Drought Carry-On and Recovery Programs and interest bearing funds of \$40.335M are borrowed from the Australian Government for Natural Disaster Relief and Recovery Assistance Program. All borrowings are unsecured.

Non-interest bearing funds for Natural Disaster Relief and Recovery Assistance Program are borrowed from the Queensland Government.

QRAA has a loan facility with Queensland Treasury Corporation which is approved under the Queensland Government's State Borrowing Program. At 30 June 2012, the amount undrawn under the facility was \$19.000M.

Notes

to the financial statements 2011-2012

Note 21. Accrued employee benefits

	2012 \$'000	2011 \$'000
Current		
Annual leave	695	571
Long service leave	1,131	863
	1,826	1,434
Non-Current		
Long service leave	205	231
	205	231

The discount rate used to calculate the present value of long service leave is 2.40% to 2.87% (2011: 4.70% to 5.21%).

Note 22. Provisions

	2012 \$'000	2011 \$'000
Carrying amount at start of year	-	-
Additional provisions made in the period	227	-
Carrying amount at end of year	227	-

The lease on QRAA's existing office space expires on 31 October 2012. The make good provision has been determined on the basis of commercial rates per square metre used by the Queensland Government in making good on leased areas. This commercial rate incorporates all types of costs anticipated for the make good of the leased area, but is however dependent upon negotiations with the lessor and levels of construction costs at the time the make good is undertaken. Either of these factors could impact on the timing of when the leased area is made good, the extent the leased area is made good and the levels of construction costs available when the leased area is made good.

Note 23. Reconciliation of operating surplus to net cash from operating activities

	2012 \$'000	2011 \$'000
Operating surplus/(deficit)	19,697	15,513
Amortisation expense	-	12
Depreciation expense	314	313
Gain on sale of property, plant and equipment	(34)	-
Impairment losses	3,526	1,035
Change in assets and liabilities:		
Increase in accrued interest	(146)	(312)
(Increase)/decrease in receivables	(1,928)	168
(Increase)/decrease in prepayments	(25)	30
Increase/(decrease) in payables and accrued employee benefits	(6,427)	7,976
Increase in provisions	227	-
Net cash from operating activities	15,204	24,735

Notes

to the financial statements 2011-2012

Note 24. Financial instruments

(a) Categorisation of financial instruments

QRAA has the following categories of financial assets and financial liabilities:

Category	2012 \$'000	2011 \$'000
Financial assets		
Cash and cash equivalents	116,194	119,933
Loans and advances	378,300	298,362
Receivables	5,963	3,890
Total	500,457	422,185
Financial liabilities		
Financial liabilities measured at amortised cost:		
Payables	1,137	7,930
Other financial liabilities - Queensland Treasury Corporation, Australian Government and Queensland Government borrowings	174,076	109,397
Total	175,213	117,327

(b) Financial Risk Management Policy and objectives

QRAA's Board of Directors has endorsed a policy of compliance and risk management to suit the risk profile of QRAA including financial risk. Authority flows from the Board to the Audit and Risk Management Committee and from there to the Chief Executive Officer, the Senior Executive Team and management.

The main elements of risk governance are as follows:

(1) Board of Directors

This is the primary governing body that approves the level of risk to which QRAA is exposed and the framework for reporting and mitigating those risks;

(2) Audit & Risk Management Committee

Its key role in risk management is the assessment of the controls that are in place to mitigate risks. The Committee considers and confirms that the significant risks and controls are to be assessed within the internal audit plan. The Audit & Risk Management Committee receives the internal audit reports on assessment and compliance with the controls, and provides feedback to the Board for their consideration.

(3) Internal Audit

QRAA outsources its internal audit function and the internal audit function has responsibility for implementing the controls testing and assessment as required by the Audit & Risk Management Committee.

Financial risk management is implemented pursuant to Queensland Government and QRAA's policy. These policies focus on the unpredictability of financial markets and seek to minimise potential adverse effects on the financial performance of QRAA.

Financial risk is managed by the Finance and Program Delivery business units under policies approved by QRAA. QRAA provides written principles for overall risk management, as well as policies covering specific areas.

QRAA measures risk exposure using a variety of methods as follows –

Risk exposure	Measurement method
Credit risk	Ageing analysis
Liquidity risk	Maturity analysis
Market risk	Interest rate sensitivity analysis
Operational risk	Internal controls

Notes

to the financial statements 2011-2012

Note 24. Financial instruments (continuation)

(c) Credit risk exposure

Credit risk exposure refers to the situation where QRAA may incur financial loss as a result of another party to a financial instrument failing to discharge their obligation.

The maximum exposure to credit risk at balance date in relation to each class of recognised financial assets is the gross carrying amount of those assets inclusive of any provisions for impairment.

The method of managing credit risk exposure is by way of strict adherence to the credit assessment procedures before loans are approved and close monitoring of arrears in the repayments of loans thereafter on a daily basis with monthly reporting to the Board.

QRAA has established procedures over the:

- Credit assessment and approval of loans covering risk assessment and security requirements;
- Reassessing and review of the credit exposure on loans;
- Establishing appropriate provisions to recognise the impairment of loans;
- Debt recovery procedures; and
- Review of compliance with the above procedures.

A regular review of compliance is conducted as part of the annual internal audit plan.

(i) Past due and impaired loans

A loan is past due when the client has failed to make payment when contractually due. Past due does not mean that a client will never pay but it can trigger various actions such as renegotiation, enforcement of covenants or legal proceedings.

If appropriate, the estimated recoverable amount of the loan is determined and any impairment loss based on the net present value of future anticipated cash flows is recognised in the financial statements. A provision for impairment is established on all past due loans after a specified period of repayment default where it is probable that some of the asset will not be repaid or recovered.

(ii) Collateral securing loans

The majority of the loan portfolio is secured on real property in Australia. Therefore, QRAA is exposed to risk in the reduction of the Loan to Value (LVR) cover should the property market be subject to a decline.

The risk of loss from the loans undertaken is primarily reduced by the nature and quality of the security taken. At least 90% of loans are well secured against real property mortgages which carry an 80% Loan to Valuation ratio or less.

(iii) Concentration risks

Concentration risk is a measurement of QRAA's exposure to an individual client or group of clients. QRAA minimises concentrations of credit risk in relation to loans by undertaking transactions with a large number of clients.

	Maximum credit risk exposure			
	% of total loans		\$'000	
	2012	2011	2012	2011
Geographical area				
Central Queensland	20.47%	19.00%	78,480	57,092
North Queensland	26.09%	28.74%	100,026	86,286
South East Queensland	41.26%	38.80%	158,195	116,495
South West Queensland	8.32%	8.52%	31,892	25,571
West Queensland	3.86%	4.94%	14,786	14,827
Total	100.00%	100.00%	383,380	300,271
Industry				
Aquaculture & fishing	1.88%	2.39%	7,202	7,184
Banana growing	7.69%	7.33%	29,475	21,999
Beef cattle	33.43%	36.01%	128,155	108,140
Dairy cattle	4.25%	4.69%	16,287	14,084
Grain & livestock	8.52%	7.96%	32,680	23,901
Other crops	10.73%	8.81%	41,160	26,443
Other livestock	4.97%	4.90%	19,061	14,717
Small business	7.27%	4.58%	27,866	13,757
Small crops & fruit	7.13%	8.35%	27,328	25,065
Sugar cane	14.13%	14.98%	54,166	44,981
Total	100.00%	100.00%	383,380	300,271

Notes

to the financial statements 2011-2012

Note 24. Financial instruments (continuation)

The following table represents QRAA's maximum exposure to credit risk based on contractual amounts net of any allowances:

Maximum exposure to credit risk	2012	2011
Category	\$'000	\$'000
Financial assets		
Loans and advances	378,300	298,362
Receivables	5,963	3,890
Total	384,263	302,252

Financial assets

QRAA manages credit risk through the use of a credit management strategy. This strategy aims to reduce the exposure to credit default by ensuring that QRAA invests in secure assets and monitors all funds owed on a timely basis. Exposure to credit risk is monitored on an ongoing basis.

All loans and advances are secured by collateral in the form of mortgages, charges and liens (refer Note 1(d)) and the valuation of securities is undertaken annually to ensure sufficient collateral to cover the indebtedness of customers. QRAA policy is to hold security over landed assets which are readily converted to cash.

The credit quality of financial assets that are neither past due nor impaired can be assessed by reference to internal client loan risk classification based on collateral provided by borrowers/recipients:

	2012	2011
	\$'000	\$'000
Loans and advances with:		
Full collateral coverage	382,256	299,974
Partial collateral coverage	1,124	297
No collateral coverage	-	-
	383,380	300,271

No financial assets and financial liabilities have been offset and presented net in the Statement of Financial Position.

The method for calculating any provision for impairment is based on past experience, current and expected changes in economic conditions and changes in client credit ratings. The main factors affecting the current calculation for provisions are disclosed below as loss events. These economic and geographic changes form part of the QRAA's documented risk analysis assessment in conjunction with historic experience and associated industry data.

The recognised provision for impairment is \$5.080M for the current year (2011: \$1.909M). This is an increase of \$3.171M from 2011 and is due to the two year interest free period loans for the Natural Disaster Relief and Recovery Arrangement - Exceptional Disaster Assistance for Queensland Flooding (Nov10-Jan11) and Tropical Cyclone Yasi and an increase in specific provisions.

No financial assets have had their terms renegotiated so as to prevent them from being past due or impaired, and are stated at the carrying amounts as indicated.

Ageing of past due but not impaired as well as impaired financial assets within the total loan portfolio of \$383.380M are disclosed in the following tables:

Notes

to the financial statements 2011-2012

Note 24. Financial instruments (continuation)

2012 financial assets past due but not impaired

		Overdue			
	Less than 30 days \$'000	30 - 60 days \$'000	61 - 90 days \$'000	More than 90 days \$'000	Total \$'000
Loans and advances	678	171	308	1,057	2,214

2011 financial assets past due but not impaired

		Overdue			
	Less than 30 days \$'000	30 - 60 days \$'000	61 - 90 days \$'000	More than 90 days \$'000	Total \$'000
Loans and advances	831	313	409	1,530	3,083

2012 individually impaired financial assets

		Overdue			
	Less than 30 days \$'000	30 - 60 days \$'000	61 - 90 days \$'000	More than 90 days \$'000	Total \$'000
Loans and advances	15	11	8	270	304
Provision for impairment	(15)	(11)	(8)	(270)	(304)
Carrying amount	-	-	-	-	-

2011 individually impaired financial assets

		Overdue			
	Less than 30 days \$'000	30 - 60 days \$'000	61 - 90 days \$'000	More than 90 days \$'000	Total \$'000
Loans and advances (gross)	17	16	45	283	361
Provision for impairment	(17)	(16)	(45)	(278)	(356)
Carrying amount	-	-	-	5	5

(d) Liquidity risk

Liquidity risk refers to a situation where QRAA may encounter difficulty in meeting obligations associated with financial liabilities that are settled by delivering cash or another financial asset.

QRAA is exposed to liquidity risk in respect of its payables and borrowings from Queensland Treasury Corporation for on-lending. The borrowings are based on the Queensland Government's gazetted floating rate.

QRAA manages liquidity risk through the use of a liquidity management strategy. This strategy aims to reduce the exposure to liquidity risk by ensuring QRAA has sufficient funds available to meet employee and supplier obligations as they fall due. This is achieved by ensuring that minimum levels of cash are held within the various bank accounts so as to match the expected duration of the various employee and supplier liabilities.

The following table sets out the liquidity risk of financial liabilities held by QRAA. It represents the contractual maturity of financial liabilities, calculated based on undiscounted cash flows relating to the liabilities at reporting date as advised by Queensland Treasury Corporation and Australian Government.

Notes

to the financial statements 2011-2012

Note 24. Financial instruments (continuation)

(d) Liquidity risk (continuation)

Financial liabilities	Note	2012 Payable in			Total
		<1 year	1-5 years	>5 years	
		\$'000	\$'000	\$'000	\$'000
Payables		1,137	-	-	1,137
Australian Government borrowings		7,282	27,043	6,010	40,335
Queensland Government borrowings		9,093	70,855	47,428	127,376
Queensland Treasury Corporation borrowings		1,440	4,190	735	6,365
Total		18,952	102,088	54,173	175,213

Financial liabilities	Note	2011 Payable in			Total
		<1 year	1-5 years	>5 years	
		\$'000	\$'000	\$'000	\$'000
Payables		7,930	-	-	7,930
Australian Government borrowings		7,289	29,126	3,593	40,008
Queensland Government borrowings		7,267	37,198	16,501	60,966
Queensland Treasury Corporation borrowings		2,048	4,833	1,542	8,423
Total		24,534	71,157	21,636	117,327

(e) Market risk

QRAA does not trade in foreign currency and is not materially exposed to commodity price changes. QRAA is exposed to interest rate risk through its borrowings from Queensland Treasury Corporation and cash deposited in interest bearing accounts. QRAA does not undertake any hedging in relation to interest risk and manages its risk as per the liquidity risk management strategy.

(f) Interest rate sensitivity analysis

The following interest rate sensitivity analysis is based on a report similar to that provided to management, depicting the outcome on results if interest rates would change by +/- 1% from the year-end rates applicable to the QRAA's financial assets and liabilities. With all other variables held constant, QRAA would have a surplus and equity increase/(decrease) of \$4.478M (2011: \$3.699M). This is mainly attributable to QRAA's exposure to variable interest rates on its borrowings from Queensland Treasury Corporation.

Financial instruments	Carrying amount	2012 interest rate risk			
		-1%		+1%	
		Profit	Equity	Profit	Equity
	\$'000	\$'000	\$'000	\$'000	\$'000
Cash and cash equivalents	116,194	(1,162)	(1,162)	1,162	1,162
Loans and advances	378,300	(3,783)	(3,783)	3,783	3,783
Australian Government borrowings	40,335	403	403	(403)	(403)
Queensland Treasury Corporation borrowings	6,365	64	64	(64)	(64)
Overall effect on profit and equity		(4,478)	(4,478)	4,478	4,478

Financial instruments	Carrying amount	2011 interest rate risk			
		-1%		+1%	
		Profit	Equity	Profit	Equity
	\$'000	\$'000	\$'000	\$'000	\$'000
Cash and cash equivalents	119,933	(1,199)	(1,199)	1,199	1,199
Loans and advances	298,362	(2,984)	(2,984)	2,984	2,984
Australian Government borrowings	40,008	400	400	(400)	(400)
Queensland Treasury Corporation borrowings	8,423	84	84	(84)	(84)
Overall effect on profit and equity		(3,699)	(3,699)	3,699	3,699

Notes

to the financial statements 2011-2012

Note 24. Financial instruments (continuation)

(g) Fair value

QRAA does not recognise any financial assets or financial liabilities subsequently at fair value.

The fair value of loans, advances, receivables and payables are assumed to approximate value of the original transaction, less any allowance for impairment.

The fair value of other financial liabilities is notified by the Queensland Treasury Corporation. It is calculated using discounted cash flow analysis and the effective interest rate and is disclosed below

	2012		2011	
	Carrying amount	Fair Value	Carrying Amount	Fair value
Financial liabilities	\$'000	\$'000	\$'000	\$'000
Financial liabilities at amortised cost				
Australian Government borrowings	40,335	47,756	40,008	48,874
Queensland Treasury Corporation borrowings	6,365	6,700	8,423	9,811
Total	46,700	54,456	48,431	58,685

Note 25. Commitments for expenditure

(a) Finance lease liabilities

At reporting date, QRAA has no commitments under finance leases.

(b) Non-cancellable operating lease

Commitments under non-cancellable operating leases at the reporting date are inclusive of anticipated GST and are payable as follows:

	2012 \$'000	2011 \$'000
Not later than one year	324	906
Later than one year and not later than five years	19	305
	343	1,211

Operating leases are entered into as a means of acquiring access to office accommodation and storage facilities. Lease payments are generally fixed, but with inflation escalation clauses on which contingent rentals are determined.

(c) Capital expenditure commitments

At reporting date, QRAA has no commitments for capital expenditure.

(d) Financial assistance commitments

At reporting date, QRAA has undrawn financial assistance commitments of \$29.342M (2011: \$32.884M). Undrawn commitments are loans and grants that have been approved and awaiting client drawdown at balance date.

Notes

to the financial statements 2011-2012

Note 26. Board members' fees

Remuneration, including meeting fees and superannuation are paid to Board members. QRAA does not reimburse Board members who are government representatives.

	2012 \$'000	2011 \$'000
Board members remuneration	72	84
Number of Board members receiving remuneration in the following ranges		
\$1 to \$9,999	4	5
\$10,000 to \$19,999	-	2
\$20,000 to \$29,999	-	-
\$30,000 to \$39,999	1	1
\$40,000 to \$49,999	-	-

The Board members of QRAA are:

Wayne Carlson (Chairman)

Joy Cooper

John Pollock

Georgie Somerset

John O'Connell (appointed 14 December 2011)

Dr Elizabeth Woods OAM (appointed 26 June 2012)

Christopher Hood (appointed 19 July 2012)

Alan Tesch (resigned 14 December 2011)

Sue Ryan (resigned 20 April 2012)

Sarah Israel (resigned 6 June 2012)

Note 27. Contingencies

QRAA did not have any contingent liabilities as at 30 June 2012 (2011: nil).

Note 28. Key management personnel and remuneration

a) Key executive management personnel

The following details for key management personnel include those positions that had authority and responsibility for planning, directing and controlling the activities of QRAA during 2011-12. Further information on these positions can be found in the body of the Annual Report under the section relating to Management.

Position	Responsibilities	Current incumbents	
		Contract classification and appointment authority	Date appointed to position (Date resigned from position)
Chief Executive Officer	The Chief Executive Officer reports to QRAA's Board of Directors and the Minister for Agriculture, Food and Regional Economies. He is responsible for leading and managing the affairs of QRAA including strategically positioning QRAA to achieve organisational and financial goals and implement Board policy.	Contract - Governor in Council	16 August 2001
General Manager, Program Delivery Services	Program Delivery Services delivers financial assistance programs that foster the development of rural and regional sector that supports the Queensland economy. Program Delivery Services also delivers programs in response to emergencies and natural disasters and fosters strong relationships with community and industry.	SES 2 Low - Rural and Regional Adjustment Act 1994	20 November 2006
General Manager, Corporate Strategy and Support	The Corporate Strategy and Support division develops and manages QRAA's systems, infrastructure and policies in the areas of finance, human resources and information services. It facilitates planning, performance improvement and strategic communications and business development.	SES 2 Low - Rural and Regional Adjustment Act 1994	29 June 2009

Notes

to the financial statements 2011-2012

Note 28. Key management personnel (continuation)

b) Remuneration

Remuneration packages for key management personnel comprise the following components:-

- Short term employee benefits which include:
 - o Base – consisting of base salary, allowances and leave entitlements paid and provided for the entire year or for that part of the year during which the employee occupied the specified position. Amounts disclosed equal the amount expensed in the Statement of Comprehensive Income.
 - o Non-monetary benefits – consisting of provision of vehicle together with fringe benefits tax applicable to the benefit.
- Long term employee benefits include long service leave accrued.
- Post employment benefits include superannuation contributions.
- Redundancy payments are not provided for within individual contracts of employment. Contracts of employment provide only for notice periods or payment in lieu of notice on termination, regardless of the reason for termination.

Total fixed remuneration is calculated on a 'total cost' basis and includes the base and non-monetary benefits, long term employee benefits and post employment benefits.

1 July 2011 – 30 June 2012

Position (date resigned if applicable)	Short-term employee benefits		Long-term employee benefits	Post employment benefits	Termination benefits	Total remuneration
	Base	Non- Monetary Benefits \$'000	\$'000	\$'000	\$'000	\$'000
Chief Executive Officer	208	30	5	27	N/A	270
General Manager, Program Delivery Services	136	26	3	17	N/A	182
General Manager, Corporate Strategy and Support	136	26	3	17	N/A	182

1 July 2010 – 30 June 2011

Position (date resigned if applicable)	Short-term employee benefits		Long-term employee benefits	Post employment benefits	Termination benefits	Total remuneration
	Base	Non- Monetary Benefits \$'000	\$'000	\$'000	\$'000	\$'000
Chief Executive Officer	203	29	5	26	N/A	263
General Manager, Program Delivery Services	131	26	3	17	N/A	177
General Manager, Corporate Strategy and Support	131	26	3	17	N/A	177

c) Performance payments

QRAA does not have performance bonuses agreement with any employees. Accordingly, there are no performance bonuses paid or payable.

Certificate of QRAA

These general purpose financial statements have been prepared pursuant to section 62(1) of the Financial Accountability Act 2009 (the Act), relevant sections of the *Financial and Performance Management Standard 2009* and other prescribed requirements. In accordance with section 62(1)(b) of the Act, we certify that in our opinion:

- (a) the prescribed requirements for establishing and keeping of accounts have been complied with in all material respects; and
- (b) the statements have been drawn up to present a true and fair view, in accordance with prescribed accounting standards, of the transactions of QRAA for the financial year ended 30 June 2012 and of the financial position of QRAA at the end of that year.



W CARLSON
Chairperson



J COOPER BBus FCPA FCIS FAICD
Chairperson – Audit & Risk Management Committee



C R HOLDEN
Chief Executive Officer



P R O'DONNELL BBus FCPA
Senior Manager Finance

Brisbane, 31 August 2012

Independent Auditor's report

To the Board of QRAA

Report on the Financial Report

I have audited the accompanying financial report of QRAA, which comprises the statement of financial position as at 30 June 2012, the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, notes comprising a summary of significant accounting policies and other explanatory information, and certificates given by the Board and Senior Finance Manager responsible for the financial administration of QRAA.

The Board's Responsibility for the Financial Report

The Board is responsible for the preparation of the financial report that gives a true and fair view in accordance with prescribed accounting requirements identified in the *Financial Accountability Act 2009* and the *Financial and Performance Management Standard 2009*, including compliance with Australian Accounting Standards. The Board's responsibility also includes such internal control as the Board determines is necessary to enable the preparation of the financial report that is free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

My responsibility is to express an opinion on the financial report based on the audit. The audit was conducted in accordance with the *Auditor-General of Queensland Auditing Standards*, which incorporate the Australian Auditing Standards. Those standards require compliance with relevant ethical requirements relating to audit engagements and that the audit is planned and performed to obtain reasonable assurance about whether the financial report is free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial report. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial report, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial report that gives a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control, other than in expressing an opinion on compliance with prescribed requirements. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Board, as well as evaluating the overall presentation of the financial report including any mandatory financial reporting requirements approved by the Treasurer for application in Queensland.

I believe that the audit evidence obtained is sufficient and appropriate to provide a basis for my audit opinion.

Independence

The *Auditor-General Act 2009* promotes the independence of the Auditor-General and all authorised auditors. The Auditor-General is the auditor of all Queensland public sector entities and can only be removed by Parliament.

The Auditor-General may conduct an audit in any way considered appropriate and is not subject to direction by any person about the way in which audit powers are to be exercised. The Auditor-General has for the purposes of conducting an audit, access to all documents and property and can report to Parliament matters which in the Auditor-General's opinion are significant.

Opinion

In accordance with s.40 of the *Auditor-General Act 2009* –

(a) I have received all the information and explanations which I have required; and

(b) in my opinion –

- (i) the prescribed requirements in relation to the establishment and keeping of accounts have been complied with in all material respects; and
- (ii) the financial report presents a true and fair view, in accordance with the prescribed accounting standards, of the transactions of the QRAA for the financial year 1 July 2011 to 30 June 2012 and of the financial position as at the end of that year.



C R Jenkins

As Delegate of the Auditor-General of Queensland

Brisbane, 31 August 2012

Glossary

Employee Value Proposition

A statement of QRAA's employment experience including the nature of the organisation, culture, ethics, values and employee benefits.

Operational plan

A plan which identifies the services (projects and activities) the business unit intends to deliver during the plan's timeframe (one year). It also supports the Strategic Plan.

Productivity Loans

First Start and/or Sustainability Loan currently available under the Queensland Government *Primary Industry Productivity Enhancement Scheme*.

Program owner

Government agency / departmental representative which has engaged QRAA to deliver specialist financial administrative services on its behalf.

Right to information

The Queensland Government's approach to providing the community with open access to public information in accordance with right to information legislation which came into effect on 1 July 2009.

Strategic Plan

A document used by QRAA to set its direction, align with the Queensland Government's objectives for the community and provide objectives and strategies for QRAA.

Strategic priorities

The priorities identified for QRAA, which are contained within the Strategic Plan to guide QRAA's performance.

Vision

Specifies what QRAA hopes to become or create. A vision statement takes into account QRAA's current status and serves to point the direction of where QRAA wishes to go.